

Thermax Ltd. (THERMAX)

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Call: Aug 2022

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August 9, 2022

To Corporate Finance

THERMAX

The Secretary

BSE Limited National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

P J Towers, Dalal Street

Mumbai: 400 001

Company Scrip Code: 500411 Bandra Kurla Complex,

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Company Scrip Code: THERMAX EQ

Sub: Transcript of Analysts / Investors conference call

Ref: Disclosure under SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015.

Dear Sir,

Enclosed herewith transcript of the Analysts / Investors conference call held on Wednesday,
August 3, 2022. The same is also available on the Company's website i.e.

www.thermaxglobal.com.

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For THERMAX LIMITED

~~~

Janhavi Khele

Company Secretary

Membership No. A20601

Encl: As above

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CORPORATE IDENTIY NUMBER : L29299PN1980PLC022787

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"Thermax Limited

Q1 FY202 3 Earnings Conference Call "

August 0 3, 2022

ANALYST : MR. BHOOMIKA NAIR – DAM CAPITAL ADVISORS  
LIMITED

MANAGEMENT : MR. ASHISH BHANDARI - MANAGING DIRECTOR &  
CHIEF EXECUTIVE OFFICER – THERMAX LIMITED  
MR. RAJENDRAN ARUNACHALAM – GROUP CHIEF  
FINANCIAL OFFICER & EXECUTIVE VICE  
PRESIDENT – THERMAX LIMITED THERMAX

DAM  
THERMAX CAPITAL  
Thermax Limited  
August 03, 2022

Page 2 of 22 Moderator : Ladies and gentlemen, good day and welcome to the Thermax Limited Q1 FY2023 Earnings Conference Call hosted by DAM Capital . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Bhoomika Nair from DAM Capital . Thank you and over to you, Madam !

Bhoomika Nair : Thanks, Steven . Good morning everyone. On behalf of DAM Capital, I would like to welcome you to the Q1 FY2023 earnings call of Thermax Limited . We have the management today being represented by Mr. Ashish Bhandari - Managing Director, CEO, and Mr. Rajendran Arunachalam, Group CFO and Executive Vice President . I will now hand over the floor to Mr. Bhandari for his opening remarks post which we will open up the floor for Q&A. Over to you, Sir!

Ashish Bhandari : Thank you very much and a warm welcome to everyone that is on the call. I will keep my opening remarks very brief. You can see the numbers as we have reported them. No surprises, we expected going in a very difficult quarter in terms of margins and that is what shows up in our numbers. Particularly April and May was very, very difficult and June overall much better performance that gives us confidence for the rest of Q2 what is coming and the visibility that we have into portions of Q3. I think there is too much going on the macro economic environment to predict too far out, but overall happy with the orders intake that we have, happy with the broad based numbers strength and this is not just one large order everything the strength below that and some of the very specific information on international chemical services, some of the investments, etc. that we have made, the partnerships that we have started, happy to answer those questions as you ask them, so with that, let us just get into the questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for

a moment while the question queue assembles. The first question is from the line of Nitin Arora from Axis Mutual Fund . Please go ahead.

Nitin Arora : Sir, good morning. My first question is on the margins, I remember in the last two, three quarters when you asked you that the value growth is how much in your new orders, you said that value growth is pretty much covered up by the client and we assume that you partly or at least because the value growth of your intake was quite high 50%, 60%, THERMAX  
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Page 3 of 22 120% and in that you are very confident that value growth is largely getting passed on, it is nothing that we are under cutting on the value side in order to get the orders, but when that corroborate to your margins it is like optically very low and I am assuming the commodity pressure is across the industries, but looking at your margin is something really at a very low level, so one if you can throw some light is it more of aggressiveness in the orders which led to this as well, how much was the commodity impact in the margin and if we which you aspire to become a double digit margin company taking a margins from 6%, 7% to 12% doing already a top line of quarterly run rate of 1600 Crores to 1700 Crores, how would that margin go to that site that is my first question?

Ashish Bhandari : Nitin, I will first start by indicating and sharing that on the statement that you have made the fact that we cutting down prices to when project I will say absolutely not, what happened on this last quarter and you can come back and say maybe we should have been doing better in looking around corners, we did not do as much of a good, but what happened in March and April was unprecedented, yes, the way the commodity prices went up and we have a chart which shows what happened between December to March and then April steel was just in days was going up 20%, 30%, nickel aluminium up 100%, stirring jumped up, so almost everywhere we looked everything had gone up massively and when you get those projects you bid them with the sense of margins that you have, you are constantly executing in the backlog that you have and the pressure that we have deliveries continues to be extremely high, so that particular portion that we executed during that period went through a bit of challenge you can say more than a bit of challenge because the impact of commodity prices was quite substantial to the tune of 6% to our bottom line, let us take this 6% and divide it into its individual categories a little bit, one big place, the single biggest place for the chemicals business, in our chemicals business which last year was easily the most profitable part of our business and

a year before was stellar part of our business, Q4 we finished at zero and Q4 actually when we finished our March quarter we lost money and till on a run rate basis we lost money in our chemicals business, it was also business that we were doing lot of actions in the background, we are passing freight charges back to the customers many of our lower margin accounts we were getting out of, we were also redoing the analytics behind to be able to do a lot of work, we were going through cost out at the refinery, going through a new ARP, so it was just a business that went through hell and the result of all of that is now starting, it also was a time period was really bad on specialty chemicals both Q4 and Q1 make some specialty chemicals was at practically at an all time low, part of that is now behind us to the point that we can comfortably say that Q2 we will post a THERMAX  
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Page 4 of 22 double digit profitability on chemicals, so I think that is one big part of the numbers that you had. The second part where we had a difference was on FGD, see FGD the backlog that we have there was nothing we could do, commodity prices went up, the de

livery

cycle on these projects was quite long and so there was nothing we could do, we have to take the hit, eat it and move forward and the FGD continue to be a drain on the environmental segment, the good part on the FGD is the backlog that we have now, which is what we were worried about even last time when we spoke that backlog now is back at a cost of that backlog is backwards, which is only slightly higher than when we bid those projects and not a lot higher because where commodity prices are there, they behind or they are somewhat lower than where prices were last December, and some of these projects we had bid where in the March to June frame, so that June to December price increase, we still have to absorb and take that out through productivity, but all the December onwards cost increases we hopefully should be manageable given how commodity prices have come down so that was on the environmental segment. On the energy segment, which is the heart of our business, there you can see we could absorb the commodity pressures and still turn out a decent margin and that should hold in Q2 and Q3, I think it would not go far to say that double digits is our you know it is something that you can expect immediately, but in terms of strength and margins Q2 and Q3 should definitely be better than where we showed Q1 and chemicals easily being the single biggest turnaround place. Okay, I hope I answered your question.

Nitin Arora : Yes, thank you so much, it was helpful. Second, on the big pipeline, can you throw some light in terms of the large orders and as well as the base orders any changes do you see with the glasses is being heavy part for us, so this year if he can throw some light on the big pipeline both in the base ?

Ashish Bhandari : The base is reasonably good, so Q2 we have a decent visibility and it is happy with what we see, the large projects continue to be there, but on the large projects in some cases especially last quarter we were little conservative on our pricing and all that with what was happening on the commodity prices, so we will see how the larger ecosystem behaves and there are enough projects in the pipeline, the billing things let us wait and see what happens.

Nitin Arora : Thank you very much, Sir. I will come back in the queue, thanks.

Moderator : Thank you. The next question is from the line of Sujit Jain from ASK Investment Managers. Please go ahead. THERMAX

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Page 5 of 22 Sujit Jain : Thank you for the opportunity. What is gas FGD execution left in the order book currently and when does one assume that till then the environmental margins will remain low because as I recollect one of your commentaries or in one of the conference calls where you said the extent of the players in FGD was that low?

Ashish Bhandari : So I think the question is specific on FGD pricing, I will divide the FGD projects into two parts, they were two projects that we had taken previously which were all in the 19, 20 kind of a time frame, both of those projects are now going through their final bits of execution with one project having 95% of its material by complete and the other one I think if I remember right 80% plus of its buyout are complete, yes, both of them are I think we have taken hits on both of those projects, we have taken reserves all of that where they are I think it should not get any worse than what it is, so I think overall we are comfortable with both of these projects that the bad news is being sufficiently accounted for.

R. Arunachalam : On the order backlog that I think you were possibly asking as well, Sujit, the FGD order backlog in the current numbers is about 1800 Crores.

Ashish Bhandari : Then if could talk about the new projects that we have both of them they were both were

at reasonable margins actually a creative to our overall project businesses where at one point our costs have gone

up quite substantial and this particular project profitability had also come down where things right now stand in the last sixty days, the profitability has gone back up with the softening in commodity prices and we are looking to make sure that as much of our buy that we can finish off in this 30-day, 60-day period that we have, we want to be able to do so, so we are going forward and accelerating the ordering of many of our major items able to finish it off and we may not get the 8%, 9% kind of profitability at with some of these projects were bid, but the 4% to 5%, which was at one point potentially our worse case, I mean in this particular things potentially a worst case scenario that we want to protect by closing out all the bids, so that is how I would answer your question.

Sujit Jain: Right, so which means that the margins could look up 4% to 5% kind of levels are possible in FY2023 and FY2024 in environmental segment?

Ashish Bhandari: Absolutely but in future quarters, I would say, yes. THERMAX

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Page 6 of 22 Sujit Jain: Sure and thank you and stirring impact what portion of sales in chemical segment. Is the understanding correct that it is mainly the raw material for resins business and resin would be 50% of your chemicals business?

Ashish Bhandari: Yes, I think resins is 40% of our chemicals business, the single biggest driver of resins is stirring, but there are a lot of other raw materials that are also part of this, not just stirring, both of those are also driver of our many others, the whole list of chemicals is quite long and in Q1 what also happened was when the war started many of these commodities which are actually not even imports and not even dependent on crude things like caustic lye their pricing for a 60-day period went up by more than 100% like completely everybody just suddenly increase the prices and these are complete consumables in a way that you order on a one week lead time kind of a basis and that costing went up quite a bit, the other thing that happened in our chemicals business was the availability of natural gas went down quite a bit, pricing of natural gas like right after the war went up substantially which you guys know L&G supply went down all of that, so that last quarter April and May were just held overall.

Sujit Jain: So, safe to assume we can climb back to the margins in FY2022 based on your initial commentary about chemical segment now really mix will improve?

Ashish Bhandari: I cannot say too far out, but definitely Q2 and Q3 we can project double digits profitability of what we can see.

Sujit Jain: One last question solution what kind of money has been spent this you mentioned in your presentation, so it is a IOT solution so what kind of capabilities you are building in-house and what kind of spends you are doing to build those capabilities in terms of opex?

Ashish Bhandari: Hedge is our way and this is the realization came during the COVID times where customers would reach out to us for interest services, counting spare parts and the whole supply chain because of all the COVID challenges was a little broken to say, that got us thinking in our way we relate and we connect with our installed base and of the tens of thousands of units that Thermax has supplied over the years almost two thirds of those we had lost actually, which means we did not know where they were, how the customers were using it, they were sold through distributors so who that the distributors sell it to, when were the spare parts provided, who was even providing spare parts so lot of that information we did not have, we were getting information from customers that we are having a problem, so it was our response to start connecting with these customers, is not THERMAX

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Page 7 of 22 just a one thing, for us it is like our I -phone one in a way, there will

I be a lot of different

improvements that will come and H1 effectively was followed very quickly by H live which H1 was connecting our customers for them to know what is the asset for them to say okay I have a problem or I need a service request or I need a spare part whatever the case may be, H live gives the customer the ability for a portion of our portfolio which is the heating and the relative set of products to take that asset online, which means to be able to monitor that asset continuously and have a variety of different efficiency and up time related models running in the background giving them fantastic insights into their assets, so we are super excited about this capability, the numbers that will get for a year our projection is not that much for the first year because our projection for the first year in terms of just H-live revenue as such is only 5 Crores to 10 Crores, but the impact it

will have on our ability to service, which means in the spare parts that we provide, seal services that we provide, the new products that we can sell and overall our ability to engage with our customer much better is extremely, extremely high, so to take this as a journey for the next three years we will continue to invest in that growing there, this has been built largely in-house, we have had development partners and all, you can see we have also made a couple of minority investments in start-ups, they are helping us in big portions of H and H-live very, very excited about what the future holds and I think in terms of total investments, the investments and the start-ups we have shared what those numbers are, but our investments internally in terms of building some of this capability, building the platform, our ability to connect with the dealers and all that, is of the order of a few Crores.

Sujit Jain : Sure, thank you.

Moderator : Thank you. The next question is from the line of Renu Baid from IIFL securities. Please go ahead.

Renu Baid : Good afternoon, Sir. I have two questions, first if we look at TOESL business in the annual business, we have seen almost 75% growth in this business, but when it comes to profit our margin is 20% growth because I want to understand A. In terms of this portfolio some 200 Crores in FY2022, how do we see the growth panning out in the next three to five years time the business approaching a 1000 Crores mark when and how should we look at the profitability of this business improvement it just seem to be more of a driven portfolio, so if could help understand the profitability will be helpful? THERMAX  
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Page 8 of 22 Ashish Bhandari : So, overall TOESL is growing continuously and will continue to grow for the next three to five years, at least for the next 12 to 18 months we see a very strong pipeline, we should finish that business this is this year at a run rate that is between 300 Crores to 400 Crores and next year we should be able to add another 100 Crores to 150 Crores for sure, so think a line of sight to in two years to 500 Crores clearly exist can this get to 800 Crores in four years, I would think possible. In terms of profitability at a project level it is not reducing, these are all this entire IRR projects, there has been some loading of cost because as we are adding these projects online most of these projects have an incubation cost which is early on which is starting to hit those projects, but overall we are also adding head count and all to be able to make this long term business, we do not see a slowdown and our margins at a asset level are still holding strong, yes, Rajendran, do you what to share anything else.

R. Arunachalam : Yes, well I think you covered it and there is also a fuel cost increase that has happened during the last quarter as well as this quarter, but this is the pass through, but then I think the fuel cost when it increases we do not have the

same level of margin that we would have on the overall project that would be a marginal mark due to fuel cost increase, you know why it is reflecting in the top line as well as in the convolution cost, the margins are not as high and hence you would see the material cost percentage going up and then profitability margins percentages being a difficult those kind of business that I think that is the structure of the business.

Renu Baid : And the solar utility portfolio would also be on the TOESL it will be under separate subsidiary so which the project would be executed?

Ashish Bhandari : I think good question, I can spend some time talking about solar opex business, our solar opex business, we have First Energy Private Limited and that particular business showed a loss of 4 Crores in this particular quarter and that was driven by a shift in the mix, historically we were doing capex projects, which means we were selling equipment and doing the EPC of small rooftop projects in solar, so that is the difference that we are little bit, no more than little bit walking away from and our focus is on opex projects and as we speak we are executing three clusters on opex project, one in Tamil Nadu, one in Maharashtra and one in Gujarat and all three of these should give us a projected revenue and a projected megawatts installed that is beyond our projections for the business, it is doing better than what we expected, but the impact of that will only start to show up in Q3, the first asset that we have in Tamil Nadu will start to show revenue in late October, THERMAX  
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Page 9 of 22 the second asset in Maharashtra will start to show revenue in November and the Gujarat asset which is a hybrid asset will not start to show revenue until Q1 of next year, so we are building up, but meanwhile that businesses because of the operating costs of the business is taking that cost, which is the negative 4 Crores profitability number that the business is taking, but we like the backlog in the pipeline the team is developing.

Renu Baid : Got it, and lastly if I may, in your comments on the order inflow you did mention that the export duty on steel could happen impact on our last projects in pipeline could be expected, on the flip side if you see the commodity price is coming off would you believe that large order inflows which was from the government sector could actually see acceleration in project pipeline, so if you could just collaborate and help us on the aspects how do you look at the last project pipeline picking in the next six to nine months?

Ashish Bhandari : Renu, very good question and I do not have a 100% answer to give you, and you hit the nail on the head when you said that the run is that some of these bigger projects especially in steel where there are some really big projects being talked about those project owners may slow down those projects, so that is the clear risk, on the other side the fact that there is softening in the commodity prices makes it much easier for the refining and petrochemical projects to hit their budgets and for those projects to go ahead, so you see a mix of both things that are possible, possible economic slowdown making certain people in steel and potentially cement a little conservative meanwhile many others who had projects that had envisage that was sitting on the fence may come in and say okay we are seeing stability let us move forward, I do not know how things will pan out, but as we see overall what I can talk about is a pipeline of enquiries a pipeline of enquiry is strong.

Renu Baid : Thanks much and all the best.

Moderator : Thank you. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma : Sir, good morning. Thanks for your time. My question is on your revenue and EBITDA numbers, when I look at a three year CAGR basis and just comparing it to Q

1 2020,

which was the last pretty normal kind of a quarter, the top line growth is about 5% CAGR and EBITDA is slightly down, despite has having pretty strong order backlog and very, very strong orders as well both base in large orders, so just trying to understand is there some constraints on RM supplies or there is a constraints on to the customer side THERMAX

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Page 10 of 22 which is keeping us from ramping up our top line significantly or do you believe that will happen maybe over the next few year and therefore we see a significant growth over last year?

Ashish Bhandari : I think I do not see any constraints right now any significant constraints, there are always project to project move, but in delivery nor are there any significant customer projects where customers are not asking for delivery if anything this is as smooth as half years in my current role, so comfortable with that, our backlog that we had built up was built up with a certain maturity and we are sticking to that maturity, during that period there was a lot of stuff that happened, but I think it is all smooth and manageable, I do not think internally as an example while we did more than 1600 Crores our backlog internally when we are projected we have only projected 1500, yes, the overall each business ended up doing more, more, more, more when what we were projecting and if that holds at the backlog matures we should be comfortable here, we do not see any particular concerns on that, the only place where we had little bit of execution challenge was on our PTTI business where we had a negative 3 Crores loss despite the fact that our enquiry pipeline was decent and the order backlog was decent where they were two projects, which we wanted to deliver where the customers were not ready to take deliveries but beyond that is the small part of our business overall, but most of the rest of the business not the problem.

Ankur Sharma : Sir, second question as you also said and what we have seen early in the RM side steel, copper, aluminium pretty much most RM kind of correcting that anywhere between 20% to 25%, so just wanted to understand how does it work in our case in terms of both our larger or base orders, do we reduce prices once your borrowing prices fall, do we largely retain our existing order backlog values and therefore any fall in RM prices results in higher margins, we were trying to understand how that piece work?

Ashish Bhandari : So, all of our projects are fixed price projects, there should not be a scenario where we would have to, customers would come back in and we negotiate pricing steel price is going down, so I did not add anything, there maybe one or two there have been cases where people have come to call saying can you cut down your prices and all that, but I think in all cases we are still higher than where we were a year ago so to speak here, so I think those are manageable discussions, we do not see a concern, I think what you will see is an improvement in margins in Q2 and Q3 clearly, you will not see that like if our backlog is 9500 Crores and that means we need to buy 4700 Crores worth of material that THERMAX

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Page 11 of 22 has 4700 Crores just because the steel prices have gone down by 10%, 15% will suddenly become lower by that 10% to 15%, what happened because we have been doing one of the things we have been pushing very hard internally is to cut the cycle from when we get a project s to when we order out extremely, extremely short, so we are trying to make sure that if we take a project that even if it is a higher price you are clearing out the ordering of it so that your margins do not dilute relative to what you committed. Q1 was good because the pricing went up like day-by-day things were going up and so in that one-to-two-month period you could do nothing to prevent your

self, so I think portion is

completely behind us, I expect Q2 to be much milder where you see the impact of volume showing up in a much bigger way and a moderating of overall cost.

Ankur Sharma : Okay and just a last one from my side, you did talk about even large orders potentially from getting delayed because of the coal export duty which was common, if you could also pass upon the ordering from FGD, power, the fining those were the pipeline which was there, how are you going to finalized?

Ashish Bhandari : So, FGD mode rate to low, we do not expect too many orders, there are some things, but I do not think we will be super aggressive as I have stated previously and also there is a limited amount of uncertainty in the FGD space where many of the companies have gone made representations that given the steel price increase they may be given some relief in executing these projects, so the government I think the finance ministry had returned to the industry ministry to potentially look at that delay, so many other customers have used that letter from finance ministry to the industry ministry to hold off and slow down their projects, meanwhile the reason that letter was written which is the commodity price increases is no longer holding through so that industry also does not know what will happen so we have got multiple projects which are going through the coating phase, but we do not know what will happen to them, so I will keep them all in the moderate to low phase, similarly the large steel and the cement projects all of them the customers are like going through with getting codes for the projects doing all that whether they go forward with the projects are not again, we wait to see. Petrochemical, the projects are going ahead and many of them are driven by government issues where we see projects happening and now that the commodity prices have stabilized, their beds will open and they will get awarded whether we win or not we do not know, but our pipeline of projects here is strong beyond this in portions of international and portions of waste heat, multi fuel there we see considerable strength, there none of these will be orders that we will come and report out, but in the 200 Crores we see a very, very good pipeline still. THERMAX  
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Page 12 of 22 Ankur Sharma : Got that, great. That is very helpful, Sir. Thank you, that is all.

Moderator : Thank you. The next question is from the line of Deepak Krishnan from Macquarie . Please go ahead.

Deepak Krishnan : Sure, Sir. Thank you for the opportunity. I just specifically want to understand on the international front especially on the European business, what have been the impact so far and are we seeing any material slow down there as well as for your chemical s business in the US given the overall macro environment, how are we seeing order pipeline over there?

Ashish Bhandari : The order pipeline overall I think still good we do not see a slowdown and in our international business also, in Europe if you take an example , which is where our Danstoker business is currently is actually seeing some of its strongest order enquiry pipeline and that is driven by many of countries in the European Union Engineering out how do you disconnect from Russia effectively so which means looking at bio mass as an option, looking at electric boiler as an option all of that becomes of a lot of interest which is driving a strong order enquiry book for us, so I think we do not see a slowdown on the international side at all in fact Southeast Asia and Europe both of which were last year somewhat slower than what we would like them, today we are comfortable and in the case of Europe having an order enquiry pipeline, which is beyond what we think our plant can deliver because we were cutting down capacity at the plant in the last couple of years, so we do not a slow down right now and

even our Stellar business as I said that is

driven by wastage recovery and some other macro economic drivers which are beyond just an economic slowdown, no particular slowdown, we are manageable.

Deepak Krishnan : Sure, just probably one followup question on the chemical segment first, if you look at the impact of mix, impact of freight, how would classify all three and where do we see probably they are easing out where do we still see some scope of what to be done and the

overall order book position, how much of would you see and how much of it has some kind of variable or pass through?

Ashish Bhandari: So, Deepak I understood that you wanted to understand slightly better on the Q1 performance and you are looking to also understand the Q2?

Deepak Krishnan: Yes, so Q1 especially for the chemicals and the trend of it and just from an overall perspective where are we on the fixed prices or variable price contracts? THERMAX

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Page 13 of 22 R. Arunachalam: I think buy and large chemical business as well it is a short cycle business so they are primarily fixed price, of course there are a portion of likely long-term contract, but they are only a portion of it so on the impacts of Q1 I think at least cover about it earlier on the commodity cost being elevated still on the ratings business and you know that is one of the challenge that will continue to have in terms of price passed through, so that is what is impacting us and as well as the product mix is a significant factor because we have different product groups with the different margins in this particular business, we have water treatment chemicals, construction chemicals, specialty chemicals and so we have multiple product groups of differing margins and different customer segments which has also have different margins and so those come into play and that is one of the reasons that we have some fluctuation in the margins, that is also for the specialty chemical that we continue to target to improve where the margins are better as we have shared in the past, which also have certain role to play, so some of this they are in the positive side in quarter one, but yes, in quarter two we are expecting some of the product mix which used to be in favor specialty chemicals and some better margin just to be executed in quarter two and also the commodity cost declining in some of the product groups so it is also positive for us I think Ashish earlier confirmed that we are looking for better numbers from that business on the profitability side.

Deepak Krishnan: Thanks a lot. These are my questions.

Moderator: Thank you. The next question is from the line of Deepak Narnolia from Birla Sun Life Insurance. Please go ahead.

Deepak Narnolia: Sir, thank you for giving me the opportunity. I have one question about your profit margins, I think more than two years every quarter the company is reporting volatile margin and off and on that is spiking commodity price, but in that context I just wanted to know how much is your fixed price contracts and how much is variable priced contract and from when you see this profitability coming back to 9% or 10% level?

Ashish Bhandari: I think I hope I understood your question right you are talking about a volatile margins and what is the price driver of these margins and how much is your fixed price and how much is your variable price, I think practically all of our contracts and I will be in overwhelming high portion of our projects are all fixed price, yes there are two FGD project which have some amount of price flexibility, but other than our entire set of projects are all fixed price, which means when commodity prices go up we take the hit, when commodity prices go down we get better advantage, what is not fixed price is our THERMAX

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Page 14 of 22 products business and our services business, w

hich are also fixed price, but we have the ability to react there much, much faster and there are ability to react of the period of few weeks, which means we can increase the prices because the court validity is the month, so that much of a freedom and flexibility you would have to be able to increase prices overall and then on the services side I guess we can increase our prices even more because that is our people and everything there about, I look at our backlog as I have said when do you think the margins will get to 9% to 10% profitability I do not know when was the last time we were at 9% to 10% profitability, we were always a good cash generating business and you can see our management of working capital and all continues to be solid. In terms of margins and profitability I think the last year and a half the way the commodity cycles have moved and they have not just moved been volatile, they have just been up, up, up, up, up, it is only now and the last two months that we are seeing a down portion, we do not care if it is up or down, we just want stability in the commodity prices so that we can price ourselves accordingly and when those projects or the margins that, if I take just to give you an example of the kinds of things that happened, long steel Rs.58 per kg, March 2022 Rs.71 per kg, BQ plates Rs.80 per kg in December, March Rs.105 per kg, aluminium Rs.152 per kg till 78 in March, nickel Rs.1500 per kg in December, 2750 in March, so it is not that we could absorb through into our business, the good part is by June lot of that has come down again, we are back to where we were in December, so I hope you will start to see profitability also which is

relative to how we did it in December and I think I challenge our teams and I will put it out there to look at Q2 and Q3 as a performance that at least a sense of direction on what we are working on and it would not be 10% profitability, but it will be much, much better than what we showed in Q1. I personally from my point a view Q1 was a fantastic performance because of everything that we had to take in and to be able to still deliver a profitability, which showed the power the scale can bring and so with the 1600 Crores top line if you could deliver that kind of a profitability with the 9500 Crores backlog, which you can see if you break it down what kind of top line we can deliver in future quarters the impact on the top line with the soften commodity prices should be something that I am looking forward to delivery.

Deepak Narnolia : Sir, in your backlog how much is project if you can broadly split that?

Ashish Bhandari : In our backlog we have more projects than 10 products relative to history because we have been winning lot of bigger stuff, but everything that we have grown like in this particular quarter we grew our projects business from 1230 Crores of the orders we got THERMAX

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Page 15 of 22 this quarter were projects, 790 Crores were products and 300 Crores were services, all three of them are 20% above relative to what it was in Q1 of last year in terms of the order booking and really I mean services part to grow that has been the focus that we have on services right now because that is not the history of Thermax, your projects go up and down in some senses, we are right now focusing on improving our base business as well and services profitability if our overall profitability on a gross margin bases came down by 7% in Q1, the services profitability on the margin percentage basis came down by 1%, so we love the services part of that business and the resilience that it has to be able to be profitable and in many ways those are the kinds of initiatives that allowed us to deliver what we were able to deliver in Q1.

Deepak Narnolia : So, the mix you did not mention the project versus product mix in your order backlog and has it changed in the last couple

of years?

Ashish Bhandari : I do not know on the backlog what is the mix, see the backlog is also a wrong one to look at because our services numbers as an example are very largely book and bill yes, if you look at our backlog of course our backlog will show predominantly projects, but that is right because in any particular quarter right now is this particular quarter as an example.

Deepak Narnolia : Got it, in turnover you can say the splits, Sir?

R. Arunachalam : So, turnover split I think Ashish just mentioned sometime back, on the turnover split we do not, but maybe we can do that and share that on the turnover split in a subsequent base we can share that.

Deepak Narnolia : And the order will be largely project?

Ashish Bhandari : No, 50:50, I just said that of the 2300 Crores we got 1100 Crores was products and services, 1100 Crores was projects, so 50:50 and that is I mean look in our history we would not be ever be doing 1000 Crores plus in a quarter of products and services, we have super bullish in that part of a business.

Deepak Narnolia : Thank you.

Moderator : Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund.

Please go ahead. THERMAX

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Page 16 of 22 Bhavin Vithlani : Thank you for the opportunity. Ashish, sorry to ask again, you have told enough on the margins front, but just to understand a more sustainable level of margins as the commodity headwinds go faster, will it be fair to say that roughly a third of our revenues on a sustainable basis will be the larger projects, which are 5% to 6% kind of margins, services will be about 15%, which will be high teens closer to 20% and products will be 11% to 12% will be the balance part of the revenue and that is how we could get to a margin level of 10% to 11% on a sustainable basis?

Ashish Bhandari : I think not a bad summary from an aspiration basis, I think the services percentage is a little lower than what we are targeting what you have shared and maybe from a long-term profitability business basis, the product business may not yet be at the numbers that you are sharing, but from a direction perspectives you are absolutely right, the only other caveat that I would provide is that overtime we need to be able to show you guys the solutions part of our business separately as well which is the question that Renu had asked on how is the TOESL business doing and on top of the TOESL business starting in Q3 and Q4, the solar part of the business will also start to overlay to create a solutions business, which today maybe not as strong, but by next year will start to become possibly 700 Crores to 800 Crores worth of recurring revenue on a continuous basis for Thermax,

so like 200 Crores to 250 Crores worth of our quarterly revenue will start to show up from these segments then on top of it if I add the regular services revenue about 25% plus of our numbers should start to become lot more stable and continues with a decent margin associated with it, so that direction holds and then if I add chemicals out of it, so our idea is to get more than 50%, well more than 50% of our business to become predictable, stable and hopefully with bit more stability on the commodity pricing lot more predictable overall.

Bhavin Vithlani : Sure, that is helpful, just the last questions from my side, energy transition is one of the key risk that you have fighting on, could you just help us understand the initiatives you are taking especially on the R&D side and that is one part that I see Indian own engineering company is missing the R&D, the efforts that you have been doing on the R&D innovation and the kind of products that you see that the kind of up move that we are seeing maybe hopefully next two, three years and once that settles down the next leg of growth that we see from some of these products?

Ashish Bhandari :

Bhavin, good question and now that I think as you know Thermax more and more some of these questions are really starting to get to the core of what we are looking to do, some THERMAX  
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Page 17 of 22 we talk about, some for as you can imagine competitive reasons we cannot, as an example, this quarter you will be announced this subsidiary specifically to focus on bio - CNG, we are doing it because we think it is meaningful enough as a segment and can become sufficiently large and we could convince major developer of these kinds of projects ever in Beirut to come in and actually take a stake in that subsidiary as well and become a partner, so that is an example, that particular subsidiary right now as only three orders, but to take three orders already all of the each order would be 50 Crores, 50 Crores so these will never be orders that will you come and report out as an exception to the street, but the opportunity that this create is to create a whole different segment for Thermax, which starts with EPC of these projects, then you can do O&M and services around these projects, create long -term revenue streams which can be very, very interesting, so we need the timeline time to build and grow them, one more thing that you would see that we have released and that is a product which is already out so it is called Flexisource, it allows us to take various different kind of bio mass and based and convert them into, energy into and this has been particularly targeted to customers that currently run coal because the boiler has the flexibility to run coal as well, so the boiler actually cost 50% more or maybe 100% more than a traditional coal boiler, but the flexibility that it gives the customer to be able to run multiple different kinds of fuel means that for many, many customers the payback would be less than two years and then it addresses their sustainability story as well, so two small examples of the kinds of things that Thermax is able to do, which are relatively novel in the space, there are others who are also in this space, but I would say some of what we are doing is definitely unique, many of the cooling applications that you will hear, we have low heat waste recovery and taking that low heat waste recovery and driving heat comes from it, chillers from it, I mean the applications are numerous and they are all driven by an R&D capability that is based on understanding the science behind absorption chillers that Thermax has which I guess at least in the Indian framework nobody else would have, so these are all sets of things that you are working on that you are really excited upon and none of them are clean I mean you can come and do something lithium bromide , which is the heart of these chillers, lithium bromide pricing went up 300% last quarter, so okay, we have to go absorb that in all of this that you provide you think you have cool technology your customers like you, but nobody is going to allow you to take a 300% cost increase on the price that they have agreed upon and manage it through, so we work through some of those challenges, but in terms of applications it is quite excited and this on top of everything that green hydrogen and all those other bits can come to bear that. THERMAX  
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Page 18 of 22 Bhavin Vithlani : Thank you so much for answering this, very helpful.  
Moderator : Thank you. The next question is from the line of Shaleen Seth from Seers Fund Management . Please go ahead.

Shaleen Seth : Sir, first of all I like to congratulate on the buoyancy in the order book, I think we have double our order book in the last two year, so what is the executing possibility that you look at specifically in other environment going forward?

Ashish Bhandari : Fairly high, I think concerns on execution, we are very focused on executing without adding significantly

more people and which is the big emphasis for us and also looking at this time to actually spend a little bit more, but spend it on automation, on productivity, on lot of different things and if you take a look Thermax's cost of manpower through the years has gone up, and last year when we finished we were in 2021 it was north of 15% with the numbers that happened last year that number came down to 13%, we are really looking at how do we pay people more, but try and focus lot more on productivity, so that we do not add people, so that whole emphasis that we have on productivity is resulting in a lot of initiatives internally some of them will be difficult because it is asking change, process change and all that, that will I think put some burden on our ability to deliver, but otherwise from a capacity point a few, availability of people all of that manageable, attrition is in double digits, but manageable. Put a number on execution capability?

Ashish Bhandari: 20 years.

Shaleen Seth: Could you just put a number on a quarterly execution in other environment?

Ashish Bhandari: Quarterly execution is that like a future backlog?

Shaleen Seth: Yes.

Ashish Bhandari: Future backlog, we stayed away from sharing future projections and an exact number but I am sharing that we understand the backlog, we understand the maturity with which it took was taken and overall we do not see too many execution challenges right now, I think that I do not should we share a future look on backlog, we have not done, so we will stay away from that, you guys are now doing a better and better job of anyway forecasting Thermax's numbers so I leave you all to it, thanks. THERMAX

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Page 19 of 22 Shaleen Seth: Thank you.

Moderator: Thank you. The next question is from the line of Aditya Mongia from Kodak Securities.

Please go ahead.

Aditya Mongia: Thanks for the opportunity, good afternoon to all. The question that I have is molding to in the waste to energy segment, how much does it contribute let us say India versus overseas put together for you at a portfolio level, the opportunity thrives and the competition that you face in this segment, thank you?

Ashish Bhandari: Over the last year -and-a-half significant and not just 30% across our overall portfolio because we have been running about 70%, of our 70% green nearly 50% has been driven by base to conversions have some sort, variety of different applications, different applications have had strengthened different parts of our portfolio, the waste to energy part, the specific one which is around this multi fuel one that I talk to you about that portion is around 40 Crores to 50 Crores of brand new business per quarter that we did in Q1 that is the Flexisource that I was talking to you about and non-recoverable solid waste, overall waste to energy has been 30% of our portfolio in this last year, continues to be extremely strong, the newer applications of this new Flexisource that I talked to is 40 Crores to 50 Crores Q1 continuing to grow and like this there are couple of other applications also that we are quite excited about the bio CNG 1 was more example that I talked about that we are very excited about.

Aditya Mongia: Thank you for the response.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from L&T Mutual Fund.

Please go ahead.

Rahul Agarwal: Thanks for the opportunity. Sir, just one question with respect to understanding the commodity impact on the incremental order inflow and is this order book of 9500 Crores can this be the peak just say one year, two year because of this commodity fall?

Ashish Bhandari: Sorry, could you repeat what will peak in one to two years because of the commodity fall?

Rahul Agarwal: So the commodity order inflow and the order book that we have reached are that elevated the commodity prices and now

with the commodity is coming off, do you see that order THERMAX

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Page 20 of 22 inflow can also see the similar fall and the order backlog as well could see that kind of fall, so volume growth may not be impacted because of the pricing fall?

Ashish Bhandari: I try and answer your both parts of how I read that question, can be slow down in commodity prices, slowdown in the overall industry and can that bring a top line down I think you clarify that was not your main question, but I will answer that question as well, I think quite possibly and it is the whole world goes through a recession India will catch a cold you cannot be completely disconnected so far we have not seen that, we are seeing reasonably strong enquiry outlook as I said before, the second question which you asked which is that some of what you are seeing in our top line is increased pricing that we would have and as the commodity prices come down will that pricing come down as

well, I think that is also a very valid question, I would say our impact of commodity prices was in the low single digits, I mean was in single digits not low single digits, so overall was the single digits pricing so to that amount maybe the top line can moderate I would take the margin side of the equation any day on that front, because if the commodity prices come down by 15% I would be more than happy to pass on 7% to 8% price reduction to our customers that is possible, we will see quarter by quarter I think right now we are holding on to a price increases, we will see it is a competitive space, I am sure as a competition starts to reduce prices we do maybe an environment where we have to reduce prices.

Rahul Agarwal : Great, Sir. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Amit Mahawar from Edelweiss . Please go ahead.

Amit Mahawar : Thank you, Sir, I just have one question, Thermax will go ahead with both domestic and globally business growth model, a lot of large project in terms of overall share of business the complexity of the book will keep on really challenges, so just want to understand what kind of crosses and recovery follow in evaluating the last especially with respect to credit risk you know payment cycles, etc., that is my question, thank you?

Ashish Bhandari : I think that I would say Thermax is the best practice, we are fairly conservative even in our history previously also some of the biggest projects that we have taken which are Dangote, Reliance they have all been actually a creator to the business, the largest of the large where we have been very, very conservative, if you take a look at our TOESL business which is the regular continues business where we are putting a cost at day zero THERMAX  
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Page 21 of 22 and the revenues get realized over the next 10 years on a continuous basis , our client list is double A and triple A, who's who of the world, the top notch FMCG customers, top notch former customers so there is no dilution in that sense and from a risk profile I do Thermax's processes overall need to improve in terms of how do we execute projects, turning and bringing with more digital, making it less manual, bringing in productivity, bringing vendors into that mix, bringing very modern technologies that are available, but from a risk perspective we are absolutely solid.

Amit Mahawar : Thank you and best wishes.

Moderator : Thank you. The next question is from the line of Akshay Kothari from Envision Capital Services . Please go ahead.

Akshay Kothari : I just had one question considering all our contracts are fixed price contracts we would be hedging, I am we would be hedging, so I just wanted to understand how much is the hedge is effective in the commodity price scenario?

Ashish Bhandari : We have looked at it in a lot of detail and we have looked at it every

time practice go up

and we have not found a suitable hedge, in a chemicals business styrene and crude are related but they do not follow each other to the extent that you would say I will go and hedge crude together hedge on styrene and the cost of hedging styrene by itself is so expensive that it is not worth, similarly on steel the multiple grades of steel that we buy and be good chunk of a buy even like stainless steel tubes for our boilers and so we have not found a suitable hedge at all, the only hedges that we do on our own effects and on effects we are practically 100% hedge, on commodities we have no hedge at all.

Ashish Bhandari : Okay, that is it. Thanks a lot.

Moderator : I would now like to hand the conference over to Ms. Bhoomika Nair from closing comments.

Bhoomika Nair : Thank you very much for answering all the questions and all the participants for being on the call, wishing you all the way best.

Ashish Bhandari : Thank you. Thanks, Bhoomika for visiting us. Wish you all the best. THERMAX  
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Page 22 of 22 Moderator : Thank you. I now hand the conference over to Ms. Bhoomika Nair for closing comments. Over to you, Madam!

Bhoomika Nair : I would just like to thank everyone for taking time out and being on the call and especially the management for giving us an opportunity to host you. Wishing you all the very best, Sir. Thank you so much.

Ashish Bhandari : Thank you so much, thank you Bhoomika. I wish every one a very good day and a good week as well. Thanks.

Moderator : Thank you. Ladies and gentlemen, on behalf of DAM Capital Advisors that conclude this conference. We thank you all for joining us. You may now disconnect your lines. THERMAX

## Call: Nov 2022

Email: [cservice@thermaxglobal.com](mailto:cservice@thermaxglobal.com) November 18, 2022

To  
The Secretary  
BSE Limited  
PJ Towers, Dalal Street  
Mumbai: 400 001  
Company Scrip Code: 500411

National Stock Exchange of India Limited  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex,  
Bandra (E)  
Mumbai – 400 051  
Company Scrip Code: THERMAX EQ

Sub: Transcript of Analysts / Investors conference call for Q2 2022-23  
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),  
Regulations, 2015

Dear Sir,

Enclosed herewith transcript of the Analysts / Investors conference call for Q2 2022-23 held on Monday, November 14, 2022. The same is also available on the Company's website i.e. [www.thermaxglobal.com](http://www.thermaxglobal.com).

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For THERMAX LIMITED,

Janhavi Khele  
Company Secretary  
Membership No: A20601

Encl: as above

Page 1 of 14

"Thermax Limited  
Q2 FY 23 Earnings Conference Call"

November 14, 2022

MANAGEMENT : MR. ASHISH BHANDARI - MANAGING DIRECTOR & CEO  
MR. RAJENDRAN ARUNACHALAM - GROUP CFO & EXECUTIVE VICE PRESIDENT  
MODERATOR : MS. BHOOMIKA NAIR - DAM CAPITAL ADVISORS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY23 Earnings Conference Call of Thermax Limited hosted by D AM Capital Advisors Limited. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal by pressing "\*" then "0" on your touch tone phone. Please note, that this conference is being recorded.

I now turn the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you.

Bhoomika Nair: Thanks, Yashashi. Good morning to everyone and welcome you to the Q2 FY23 Earnings Call of Thermax Limited. We have the management today being represented by Mr. Ashish Bhandari, Managing Director and CEO and Mr. Rajendran Arunachalam, Group CFO and Executive Vice President.

I will now hand over the call to Mr. Bhandari for his opening remarks, post which will open up the floor for Q&A. Over to you, sir.

Ashish Bhandari: Hello and very good morning to everyone that's on the call. Thank you for being with us today and I think most of you know Thermax well now. So, I will keep my opening remarks very, very brief. As part of the Board, I do have management presentation, as you may expect. And in this last week when I was doing that presentation, I call the quarter that went by as a Gol dilocks quarter. On one hand, you see commodity prices stabilising which will increasingly start to reflect in our margins as well. On the other side, we see some of the growth drivers also moderating. Yes. So, our inquiry pipeline, which was growing continuously quarter -over -quarter, while it is still very healthy, it is now plateauing.

On the large project side, the big wave that we had in oil and gas is over. We still see a lot of momentum in much of our base business categories. But even there, there is industry shifts. Edible oils, cement, some of these sectors, even pharma is seeing reduced inquiries, whereas others including, beverages and steel and couple of other sectors are continuing to show increased momentum. Overall, I would say moderating on the inquiry pipelines, still extremely healthy and good. Very good on the overall environment and on the execution front.

So, across the Board, we think, we see supply challenges moderating, logistics situation improving, which is also maybe somewhat reflective of logistics increasing capacity in the overall demand situation globally, which means we're seeing even global freight prices starting to moderate and become more amenable overall. And so, in this environment, I think our ability to work our back log and even our customers for the most part are picking equipment. So, we don't see too many red flags that way. So overall, I think on the execution side, we see reasonable momentum across the board.

From a focus perspective, I think the focus is now clearly on continuing to make sure that we win good orders. And this last quarter was a good example. In the Q&A, I'll talk about kind of what's working and where is the focus. And now also, continuing to work on some of the cost aspects, investing in digital, investing in improving our processes. So, a lot of work, heavy lifting in the plumbing of the organisation as such. So, that's the focus right now. And the rest of the numbers you have seen from the analyst reports, I mean from the management presentation that we have shared with all of you.

With that, I'll open the floor for questions. Rajendran, anything else to add from your point of view?

Rajendran Arunachalam: None, Ashish.

Ashish Bhandari: Okay. All right. I think we're ready for questions here.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Ankur Sharma from HDFC Life. Please go ahead.

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Ankur Sharma: Yes. Hi, sir. Good morning. Thanks for your time. Just going back to your comment on inquiry levels plateauing off and that kind of tying it to the fact you also said about large orders in oil and gas also kind of, maybe kind of also peaking out. So, just trying to understand, when I look at the second half of this fiscal and I remember from your last call also you said that steel and cement would be more of a FY24, I mean the larger orders there would be more of FY24 kind of scenario and even FGDs, which were the other big contributor for us, with timelines, we moved out. My guess is, ordering there may see some deferment. So, just if you could help us over the next two, three, four quarters broad based segments, which are the segments you think could help us get to that growth in the orders more importantly, given that 22 was at a high base of about INR 9,400 crore – INR 9,500 crore.

Ashish Bhandari: Good question and one that I'll try and answer to the best of my ability. And I think we have shared this previously as well that that couple of these big industries will go through waves and that wave especially on the refining and petrochemical side, especially the government owned refineries here. So, HRRL which was the new refinery that is coming up in Rajasthan, that being the single biggest one and where there were lot of inquiries that were in place. So, if you take a look at our current quarter, which was about INR 2,000 crore plus in orders, we delivered that with very little from big orders at such and the entire refining and petrochemical sector was a very, very small portion of this order book and we had nothing to report.

To be fair, we actually had a couple of losses out in the refining and petrochemical space, where we were not willing to compromise our margins. And we chose to keep our prices high and eventually, the projects went at pricing that we wouldn't have touched it any which way. It was not a regrettable loss but we have had losses in the last quarter and those were managed controlled losses.

Similarly, on the FGD side, even previously, when we've spoken, we really haven't focused too much on the FGD side and are even going forward, at least in the next 12 months we've got nothing on the orders front from any of this. So even with some of these constraints, to put out INR 2,000 crore plus in orders was actually fantastic.

So, what does that mean for the second half as an outlook? I'll say how I'm looking at it. Yes. I'm looking for consistency in getting some of these base orders and continuing to be at these kinds of numbers and it could be 10% below this or somewhere there about as. And then we have a few big orders that we are going for. Nothing that is INR1,000 crore or bigger than that but we have got a few in the INR500 crore to INR1,000 crore range or the INR300 crore to INR1,000 crore range. And if we win one or two of those, fantastic, but we will not drop our prices to win anything like that.

So, there is still a pipeline of big projects and we will see what happens. But on the base business, which is as I said, we have been trying to get to, aspire to higher levels. There we would like to sustain where we are now. We may be at 10% here or there but that's the range we would like to be in

Ankur Sharma: Okay. And on steel, cement, sir? Anything? Because I remember, last quarter you said still not even a big pick up there. So, you are still sticking with that? Is it more of a '24 kind of phenomenon?

Ashish Bhandari: Yes. We stick with '24 but even last quarter, we have had decent orders from cement and the wave is not growing but we still, and even now the inquiry pipeline for cement and steel is lower than what it was a year ago clearly, but it's still there. Yes. So, we continue to work through this. Many of our customers though, when we speak with them, they are very, very bullish on their Capex plans going forward across the Board.

Ankur Sharma: And just a last one if I may. On the margins in energy, which again saw a drop this quarter as well on the energy segment, that is over 5.5% EBIT margin. So, fair to assume we've hit bottom and now with RM prices kind of either stabilizing or going down, it only gets better

from here?

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Page 4 of 14 Ashish Bhandari: Yes, I think that's a fair expectation or at least that's the expectation that I have from the team to deliver as I think we have in some ways, of course we may always have some surprises that may come about. And as I see surprises, I'll be open and transparent in sharing any of these. But where we see right now, I think we have gone through a fair bit and on the energy margin side, there are few, even within the numbers, there was some moves for our FEPL which is our solar business. We continue to invest in home growing that. We are investing INR 3 crore to INR 4 crore almost in terms of losses each quarter in building that platform and any future question, I'm happy to answer where that is going.

In addition, both our international businesses took some sort of losses. In our large projects' business, we had a particular customer where, again, a government customer and these were all kind of, in some ways, I think the government projects have been, while they give you a good top line, the bottom line always suffers because it's just difficult working through that entire environment and which is also something that we have kind of worked through and cleared off of our books.

So, as we look forward, I think what you say in terms of the margins improving on the energy side, that would be definitely my expectation also.

Moderator: Thank you. We have a next question from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani: Good morning, gentlemen. Couple of questions from my side. The first question is actually coming

from one of the order wins that you've highlighted in the Slide 6. So, which is the ZLD and the effluent recycling plant for a pharma company. So, if you could help us understand maybe the size of the order that was there? How large is this industry? Thermax's market share here. And now given that the ESG reporting will get more stringent in the next coming years where companies have to propose specifics about the water and the effluents, how large can this business be for Thermax?

Ashish Bhandari: See, these were all orders that are INR 50 crore and less. Yes. But when we talk about business of Thermax, this is exactly the kind of segment that we would like to be to get better and better at. Market share specifically for ZLD, it's the market itself, is also so fragmented, and that ZLD itself has got intermittent in technologies, in intermediate technologies and in final solutions. So, what you define is, ZLD can also change a little bit depending on how the calculations are done. I don't think I have a ZLD specific market share number to share, but overall, ZLD and associated with ZLD, the technologies of MEV, MVR, they are all in a space where we see a pipeline and then a pipeline that continues to grow. It's also very competitive. Yes. And it has got some amount of technology differentiation, which we think we have, but it's a very, very competitive space, because ZLD ultimately is a cost category for our customers.

But overall, I think water as a space is one that we all think is a multi-decade bet and an investment and more and more water in India has to be cleaned up, other ones have to get cleaner, the enforcement will continue to grow and some of these spaces will continue to grow them. They will never be a single project, at least for us because we don't do municipality and government. There will not be something that we report out individually, but underneath, the entire environment sector which is anchored by our water business continues to grow in pipeline.

Bhavin Vithlani: Sure. Just a follow up on this. Ex of municipal water segment, what would be our addressable market and rough market share?

Ashish Bhandari: Our market share is less than 10%. The overall market on an annual basis will be easily INR 7,000 crore to INR 10,000 crore I would say.

Bhavin Vithlani: Okay. The second question I had was on the chemical segment. We have seen a very strong growth coming back and in your presentation, you have highlighted about exponential growth that we have seen in oilfield chemicals and construction chemicals. If you could give us an outlook, how do we see this segment as a whole? I mean, what are these different constituents as a percentage of our chemicals and when do we see margins revert back to the 20% odd that we have seen historically?

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Ashish Bhandari: So, I don't think we have a number specifically on when it will get there. We've always shared that good place, while at 20% EBITDA margin maybe but a 15% to 20% PBT was what we thought we wanted to target with our Chemicals business and increasing top line as well. I think we went through as you guys know, nearly three quarters plus of pain, three quarters worth of pain were the commodity prices, the logistics increases, our inability to deliver, reworking contracts with our customers, all that pain we went through. I think we are now coming out of that. And this last quarter was a good example, where even our execution was getting better and we were able to deliver on some of what we had committed.

I do see stability in the coming quarters as well. We did have a bit of good guy on the mix in this last quarter that went. So, while some portions are continuing to get bet

ter on the

Chemical side, the mix situation at least for one quarter may revert back to kind of what it was before. So overall, I think not 20% but at the place we are, at least for the next quarter and beyond, I would expect us to hold on to that and maybe improve slightly as well.

Moderator: Thank you. We have our next question from line of Ravi Swaminathan from Spark Capital Advisors. Please go ahead.

Ravi Swaminathan: Hi, sir. Thanks for taking my question. My question is in continuation with the question that Ankur had asked. So basically, in terms of the large order potential, how many orders which are more than around INR 250 crore in size, are there, in pipeline? Which sectors are there both, domestically and internationally? So, if you can give the broad thought process over the next 12 to 18 months, it will be great, sir.

Ashish Bhandari: So, I can't share all of it because some of it is competitive information. I would say there are large opportunities still both, internationally and domestically in the INR 250 crore to INR 1,000 crore range. Some of that is in Refining and Petrochemical. Steel, we have a decent look. International, we have a decent look. Engineering, we've got a couple of projects that are in that space. But that overall pipeline is not as big as what it was maybe a year ago of large projects. Even though our total pipeline continues to be as good, the large projects are not as good. The FGD wave is kind of over, the oil and gas refining wave in India where a lot of projects during COVID were not going through, so a lot of that has now worked its way through the system.

Ravi Swaminathan: Got it, sir. And with respect to the ethanol blending related opportunity, if you can talk. Is there a big opportunity for Thermax? Can we see multiple small orders?

Ashish Bhandari: Yes. I think that is definitely possible and a big pipeline there is building up to the point that the pipeline is a lot more than what we want to sign up because the technology is still emerging out here. We want to be a little careful before we fill ourselves with orders out here, because we want to be sure of what we have been working through and we are able to deliver them those projects that we have already taken exactly as we have planned. Here the sector I think has got a lot of potential and everything from Bio-CNG, bio-gasification, tomorrow, biomass to hydrogen, many of these cases have a lot of potential. Bio-CNG is commercially viable even now with some of what the government has put in in terms of subsidy and support and overall, the strong pricing that CNG has. The technology bit, I think, still needs to be. Technology and supply chain both. Both have to get proven in the ground. High degree of confidence if that can happen. But we need to see that. And that is the space where pipeline can develop exactly like you said of lot of small projects that can come in and can contribute.

Ravi Swaminathan: And my final question is with respect to the Chemical business. The kind of growth that we can expect over the next three to four years. 10% to 15% CAGR is something that we can kind of expect for Chemicals.

Ashish Bhandari: That's our expectation and investments accordingly as well and we'll continue to invest on the Chemical side. There are just too many geopolitical moves on the chemical side, as a fair bit of our business comes from exports. And we are investing as you know, we've spoken before also in investing in the front end in some of these geographies and we have continuing to move the ball forward. Long-term, this is a growth area for us. We want to

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Page 6 of 14 invest into it but there will be ups and downs and we've seen it in the last

three quarters

also, how the Chemicals business can go up and down. I can't predict that such behavior won't happen in the future. But I do think, overall, this is a growth segment for Thermax.

Moderator: Thank you. We have our next question from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan: Thanks for the opportunity, sir. I just wanted to delve more on the Solar Opex model. Out of that total committed investment of INR 1,000 crore, where are we currently and in terms of return, how do we kind of look at the profile? And beyond this, have we kind of made any incremental investments in any of the newer areas that we were focusing on?

Ashish Bhandari: So right now, on the solar side, we started the year with an expectation to do about 50 megawatts in Opex and maybe a similar amount on the Capex side. The Capex business we haven't been able to win anything of note and which is why we are running a loss in that unit which is higher than what we had projected internally when we started the year, and we are carrying through that loss. Through that the positive bit which says we are on something at least, right, is on the Opex side. Where on the Opex side, we have about 70 megawatts which is committed, 100% sold and we have three projects under execution right now in Tamil Nadu, Maharashtra and Gujarat. So, the first one of which should start to produce within the end of this month and the last one of what is already committed, should happen in Q1 of next year. So, the next six months we have lot of activity out here. But I think even next year should overall be at best a breakeven year for the Solar business. The year after would be when good profitable numbers will start to show up, and after that point, I think, the business should actually start to become accretive to Thermax.

After this 70 -megawatt, our next number we want to go for is somewhere between 150 megawatts and 200 megawatts and the plans for that are being finalised. The capital so far what we have invested in, I'll let Rajendran share on how much we are comfortable sharing about that, but there has been a discussion at the Board level that sometime next year, we need to start reporting our Solutions business which is FEPL and TOESL, both of them separately to our investors in terms of what is the profile, how do we see those businesses and calling them out as our solutions business.

In terms of IRRs Solar, we are seeing numbers of the order of 16% to 19%. TOESL is couple of percentage points higher, 18% to 21% on Equity IRRs. Solar is slightly lower.

But I think, these are all homegrown projects. We don't expect to buy anything, do any silly moves in terms of trying to create a big number. We want to incrementally grow this working with customers that we know, we have good relationships with, that trust Thermax and will continue to build and work towards this commitment of 1 gigawatt over five years. And even from a capital commitment perspective, we have a number in mind. We won't go beyond that. And I've shared that number at least, some parameters of that number. If we think we see growth opportunity beyond that, then we will look to bring an external partner in it at the right time. Yes. Right now, our focus is on developing these projects, starting to gain revenue and show the world we can do this consistently across geographies, and that we have a good scalable model. Once we do that, then we will figure out how much we want to scale it up and what mechanism we want to scale it up.

Deepak Krishnan: Yes. Maybe just one follow up if I may. Just wanted to check on the Enviro side, the two legacy FGD projects and the margin that we reported this quarter, does it have any right backup provision or any one-offs that we specifically want to call out for?

Ashish Bhandari: No. So, on the FGD side specifically, our two projects are in, all projects now

are in full

execution mode. The two that are relatively lot more stable, both practically through all of their buys. Majority and by that, I mean, overwhelming majority of the buys are done, well above 90%. They are all going through commissioning and site work with full progress on location. And in terms of where are we on the book side, there were no unforeseen write offs or anything on the FGD side. If anything, all the results that we had booked, we were able to release a little bit of those results based on the project progress that we were seeing. So, whatever was our mechanism in terms of how do you release that contingency, based Thermax Limited

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Page 7 of 14 on the accounting treatment, we were able to release a little bit of contingency onto the two projects.

The higher revenue from these projects will start to come in, in the coming quarters. And along with that, that revenue, some amount of margin released will also start to increase in these projects in the forthcoming quarters.

Moderator: Thank you. We have our next question from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Good morning, and thank you for the opportunity. Sir, firstly, can you give more update on the green energy side? While we have spoken of some initiative on technology tie-ups of the solutions of the company, so any update on that side of the business?

Ashish Bhandari: So, we talked about on the green energy side a few different things. I don't know which one specifically you are referring to. One is, the JV that we have done with EverEnviro for executing Bio-CNG projects. I've given an update on that already, Renu, in one of the previous questions that came by. We see an extremely strong pipeline, but we need to be careful and cognizant and not jump in so deep before we know what is our execution capability, because we see this as a multi-year play and there is no point being silly upfront. But the potential in the market is definitely there and we think we have good technology and now pretty quickly, very good sense of what the execution takes where we think we are ahead of the curve compared to the rest of the market.

Here we have got a couple of projects which we should finish in the next three months and that should give us a very good idea about what is the execution capability. Based on that we will see how fast and how much to expand the funnel by.

Renu Baid: Sure. Certainly, if you look on the margin side now, it has been a bit of a mix where energy margins have been soft and on account of certain projects, Enviro hasn't seen some relief and Chemicals too, as you have guided, are now in double-digit margins since then. So, are you trying to say now that the commodity related implications from the various segments have been visible in the last few quarters. When we look at these commodity costs headwinds easing out, do you perceive that there could be certain pockets or projects where still some of the impacts could continue in the second half or broadly, they are behind in terms of the headwinds that we have seen?

And also, on FGD, for the residual value which is there is a backlog, from your perspective, what should be the broad profitability on those projects? Earlier you had indicated breakeven to low-single digit. Do we think the residual orders now have better margins with even commodity cost structures or they would still be at near breakeven levels?

Ashish Bhandari: They would be maybe, Renu, whatever I would have shared previously on the FGD side, maybe 1% to 2% better, not that much. So, if it was 2% or 3%, maybe now 4% to 5%. But that's it. It is a business which is and also, because when the commodity prices just started

to somewhat moderate and when we had to lock in, because projects have got very strict delivery timelines and to stay with those delivery time lines, we had to make calls and we moved forward. And so, wherever commodity prices are today, we could not benefit entirely. We had to make our moves. But we've had some improvement. I don't think anything beyond 1% to 2% in the numbers that I've seen on the on the FGD side.

On energy segment, overall, as I have said before, that I think we have now an opportunity to improve margins. Here's some what we have gone through in terms of commodity prices, taking those hits, increasing our pricing or leveling our pricing to somewhat, there is still an impact. While lot of commodities have leveled off, certain kinds of steels, especially certain exotic steels, which we depend on Europe, anything that is Europe's supply or dependent on higher grades of steel is still extremely high. Not only is it high, the availability is also very low because many of these European clients, because of their energy movements have had to increase their prices substantially, which means the overall prices for those across the ecosystem have gone up tremendously. So, while a lot of the base steel prices have come down in tubes, which is something that we buy quite a bit of, the prices haven't come down to the same extent that they've come down for plates and flat

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Page 8 of 14 steel. And certain exotic steels, which we need for many of our FGD projects and many of our other projects, there the pricing has actually gone up. Overall, though, prices have clearly stabilised and moderated, and we are able to manage this little bit of change up and down within our system.

Renu Baid: Sure. And just two more things. First, on the international subsidiaries, can you share any update in terms of both, in terms of demand outlook and in terms of margins profitability for Danstoker and the Indonesian business? And lastly, you did also mention about, as in your comments that order size were bit mixed in terms of large orders slowing and base orders moderating but still remaining healthy. So, you think the overall value shrinkage or the moderation that you are seeing is largely, this is also linked with the commodity price moderation or the absolute volume, or the number of projects itself has now started to reduce?

Ashish Bhandari: I think I'll answer both your questions. I do think the volume of orders is also starting to plateau at least, if not shrink. And a good example of that is in our channels business, we went through five quarters of doing better than the quarter before. This next coming quarter, I don't think we will be able to sustain it, which means there will be some gap. And then, the focus is on market share etc., and how do you win more, but all of that ultimately speak for, expect some pricing to start coming down. It will get a little bit more competitive. We see a very strong overall inquiry flow. So, our numbers - inquiry flow is well beyond pre-Covid time and in this time period, we've also built up decent services portfolio. Lot of our TOESL, Chemicals business are proof in the sense, they are continuous kind of base business in a way. But on our Channel side, we see now, finally, we have reached a number, and we're not able to grow beyond that number which we were for five quarters. So clearly, there is a bit of plateauing and slowdown.

On the international businesses between Danstoker and PTTI, which is our Indonesia business, we had a loss in the last quarter. The good part is, both of them are doing extremely well on the orders side, which means for the remainder of the year and for

the

next 12 months, I would say, we should have some of our, I wouldn't say best numbers, maybe our best numbers as well for both of these businesses as we look beyond and with different drivers.

In Indonesia, as we have said previously also, we were starting from zero. So, everything was competitive, difficult. As we are starting to make a name out there, we are starting to do better and better. We have a better inquiry flow. We have slightly better win rates and as that win rates and all start to get better, our backlog is also improving. We have had challenges in execution which is why we took a hit even last quarter on that business. But as we get better and better, the expectation is, some of this will eventually become a strength for us. So, still very committed. We see the pipeline in Indonesia, and our ability to execute continues to improve. I do expect at least that the business will not have losses for the next two to three quarters.

Similar end result in Denmark and Poland in our Danstoker business, but a very different driver. There, we have a massive inquiry flow because what has happened is that the decoupling of Russia and Europe has resulted in a big requirement for biomass and biomass-based boilers and all the kinds of things that we are good at. We have two very different challenges out there, which is, mind-bogglingly horrible in a way that when inquiries were low, we were not profitable for one reason. Now, the inquiries are so many, that we are not taking orders, and we're not taking orders beyond a particular point because we don't have an ability to supply, and not only do we not have the ability to supply because our plants are full but also, overall energy prices have just shot through the roof.

So, the order book that we had, the profitability that went down because energy prices in both Denmark and Poland went up like five times. And they are now starting to moderate. But we will not increase worker strength in those plants because we've gone through that difficult cycle once before and so, we will not take orders beyond a point. We will outsource work wherever we can. But as we look forward, I think that business should also make money at least for the next one year.

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Page 9 of 14 Moderator: Thank you. We have our next question from the line of Sandeep Tulsian from JM Financial. Please go ahead.

Sandeep Tulsyan: Yes. Very good morning. My question is pertaining to the Environment segment. You did mention that inquiry pipeline for FGD has slowed down. And when we look at that quarterly order inflow run rate, although there was some improvement in the past couple of quarters, it has come back to that INR 250 crore, INR 300 crore run rate. So, do you foresee these numbers being in this range, kind of plateau at these levels? Or do we see a further softening from the levels that we are currently at the domestic part of it?

Ashish Bhandari: Look, on the Enviro side, if you take the FGD out, we only have our water and our clean water and clean air portions of the business. Both of them are also at their highest ever kind of run rates in all ways. So both those businesses are doing, at least on the order side, fantastically well. Different drivers, the clean air portion is more related to kind of capital investments and the like. I think, no, I wouldn't say entirely capital, I'm just saying that the Water business and the Clean Air business that together make our environment business have got different drivers. I guess that's a better way to say.

Both of them have got tailwinds right now. So, we don't expect anything beyond FGDs and FGDs have not slowed down. I think, even when we started the year, we have said at least

internally we don't expect to get any wins in FGD, and the first two quarters have been a testament to that. I think, as we look forward, whatever remains should grow, and we are very, very bullish on long term potential of both of these businesses. And where we are in, I think that's the base you can look to grow from.

Sandeep Tulsyan: Got it. The second question is on the Chemical segment. I mean just delving a little bit deeper in terms of the different sub segments within this. Historically, of course, (inaudible 43:54) used to be around 50%, 55%, and balance was the specialty in performance chemicals, including oilfield chemicals that we are doing. This quarter, of course, seems

that there was a large order win in the international space. But can you give it some more colour in terms of how it is segmented between these major sub-segments, between domestic, international and also, in terms of capacity where we were expanding our capacity in Dahej, in terms of total capacity utilisation there? That would be the final question.

Ashish Bhandari: Sure. On chemicals, I think our mix changes a little bit based on what kind of orders we see. But on an annual basis, our mix is pretty consistent, in the sense that about 40% of our businesses, resins of which depend, but around one-fourth to one-third can be specialty resins or resins going for specialty applications. Then another 40% is basically our water treatment business, which is India heavy, and the last 20% is construction chemicals and oilfield chemicals and the like. We used to also do Pulp & Paper and all that, which we have stepped back from. But these segments, all four of these, the water treatment, the resins, the construction chemicals and oilfield chemicals, in all four of those, we see decent momentum. So, we like where we are.

Overall capacity utilisation at Dahej now starts to go up. Some of those water treatment and ETP issues we have worked through. Of course, meanwhile, while we were renegotiating contracts etc., with customers, even our demand number had softened. We are now effectively beyond 50% capacity utilisation of the plant. But we still have quite a bit to go from a top-line perspective in terms of how we can grow our chemicals, resins top-line at

Dahej here. So, at least, for another year and a half, we think we can continue to grow out of Dahej. After that, we will need a new plant, and we are planning for additional capacity investments in that business.

Moderator: Thank you. We have our next question from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Good afternoon everyone, and thanks for the opportunity. My first question was on margins at an overall level. And the question was that as you see iron prices stabilising, if not moderating, as you see some improvement in our EBIT margins given that you have a backlog. As you hit the benefits of leverage, both operating and financial coming about, do

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Page 10 of 14 you envisage 10% EBITDA margin as a reality that can happen over the next two years for you?

Ashish Bhandari: Look, I think at some point we need to as I said start to show our business a little differently. On the project side, I don't think 10% is; I wouldn't say it's impossible. It's definitely possible, but it is not something that we should bet on. And that's because I think I've already shared here, a big portion of our backlog will be FGDs. I've shared with you the profitability that we expect. On the rest, there is definitely opportunity for improvement over where we are and we will show that, and that will start to show up in the energy

segment over the next 12 months as we continue to execute and work through.

Just understanding the competitive nature of these businesses, 10% EBITDA maybe at the, I think at the higher end of what can be reasonably expected. But the business will always be maintained as a healthy cash business. We have very good cash flows, profitability translating cleanly into cash and relatively low investments in capital equipment and kind of managing the depreciation line very, very well, effectively. That's how I would look at the project's business.

Beyond the project's business, which is our products and services business, to expect a double-digit EBITDA, of course, we should do that and that's our focus. And even when I said, what are we going to be working on right now - a big chunk of our focus will be to invest in the guts of Thermax, which is invest in process improvement, invest in digital, a lot of other places so that we don't go back to poorer profitability when markets change here. We really want to use this time period of relative stability and health to make us a better business for the long term. So, in that sense, we will be investing internally and take some additional cost to ultimately become better.

And so, these are not easy decisions in terms of really digitising portions of our business, investing in digital for our services capability. A lot of these things, in doing process improvements, doing shared services in a much bigger way, all of this will take some time

and a significant amount of effort, potentially, some amount of money as well, which is not very significant, but significant, which otherwise may have been given back as EBITDA.

But it's very, very important for Thermax to improve the guts of our business, to make us a very competitive business for the long term and we want to take the time to do that. So overall, in that Products and Services business, so to expect double-digit EBITDA is, of

course, has to be done and delivered.

And then the third part of our business is our Solutions business, where more than EBITDA and profit, I think Equity IRR is the right metric to look at, and I have shared kind of what those numbers are for that part of the business.

Aditya Mongia: Sure. And the second question that I had and thanks for the colour for the first question and extremely valid points taken. The second question that I had was more on sustainability linked businesses. You've said in the past that some of these businesses are obviously are the cost to the customer and then profitability for us becomes an issue. Do you see businesses, like say, base to energy kind of businesses which actually aren't a cost, wherein the company can make a decent profitability? And can they be a driver of your base ordering, base orders in any meaningful manner in next two, three years?

Ashish Bhandari: Look, it already is. Yes. So that's the place where our investments are going in. That's the place where our effort is going in, to differentiate ourselves build capability. Lot of things that we have done on our own, some of which we've even talked and announced about, but that's exactly what's driving our business. Yes, completely. And even on, when I talked about ZLD specifically as a cost to the customer, there are still investments that you can do in technology to make your technology be more efficient than an alternate technology. Like your ZLD takes less energy than somebody else's ZLD. But then you need to convince your customer that that is actually something that happens and that they should be okay paying a little bit more on the CapEx side to recover a lot more money over time. So, none of these are easy sells, but technology differentiation on multiple of these places is absolutely possible.

That said, industrial products in general, unlike software or consumer products, differentiation and technology improvements mean small, small bits of leverage which

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Page 11 of 14 ultimately result in small improvements on the margin side. Possibly, a bigger number on the top line, but small improvements on the margin lines. Here, the Indian customer is very, very adapted, very effective negotiation. But you are seeing that margin play come out, and you are seeing in some of our active decisions also, where some of our biggest projects in our history for the government business, we turned our backs on to say we will not take those projects at a low profitability, even though they would have given us a massive top line. And that was a very active decision on our front in terms of how we want to work our backlog.

Moderator: Thank you. We have our next question from the line of Jonas Bhutta from the Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Good afternoon, gentlemen and thanks for the opportunity. So, Ashish, I just want to circle back to this comment where you have said that you're going to spend some time over the next year or so in trying to even out the cyclicalities that our Product and Services business have, while that endeavour may have some sort of front-loaded costs. But can you just sort of elaborate on what we're actually trying to do? Because as far as we understand it, on the product side, particularly on the BB boiler side, you're already at market leadership. And we would already have top quartile margins there. So, if you can just give us an example because digital by that way is a very vast area. So, what are we trying to do here? Some colour on that will be really helpful. Thank you.

Ashish Bhandari: See, Thermax, through its history, we have been a very people intensive business, which means in previous times when we have grown, we have grown that by adding people, which also shows up as our employee cost as a percentage of revenue. What that means is overall, at the back end, we were running more as a company, which was not leveraging best in class processes.

And I'll explain what I mean by that. What it means is that we were, in terms of orders, how standard are you? How quickly does an order flow to engineering get into manufacturing? As you go into all of this, every time there is a change, how much does that design change reflect in engineering time that you need versus how quickly can you take some of that complexity in customer inquiry and translate it into a product that you can deliver?

Ultimately, what it means is to be able to take the chaos that is outside and build processes and systems so that chaos on the outside doesn't really result in chaos inside. That ultimately means having a digital backbone through the company, which is not just digital, but your processes that are lean, lot of your capabilities that are modern. It also then reflects in your ability to get good people who come not because they have to do mundane tasks again and again, but I really focussed on differentiated work. So, it ultimately connects to be able to attract and retain people. It goes to the ethos of who we are as a company, because I think the world around us is changing very quickly, especially in the energy space with what the demands of green energy, waste to energy. All of this requires complexity in the system.

On water, the number of technologies that are coming in are so quick. The customers demand shorter lead times, better products, all of that. And so, if Thermax has to be at the front end of some of these spaces, we need to be able to respond really, really fast to our customers. And to do that, we need to take the time that now, if we grow, we don't really need to grow with people additions. And not only that, eventually to make digital as a driver of our business where we are able to give customers deeper insights into how their products are

being used, what efficiency, what uptime are those assets working at, give them valuable insights which will ultimately help them come back to Thermax again and again for their needs.

Jonas Bhutta: Understood. Great and probably, we will want to hear more of it as you progress in time. Thank you.

Moderator: Thank you. We have our next question from the line of Mihir Manohar from Carnelian Asset Management LLP. Please go ahead.

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Page 12 of 14 Mihir Manohar: Yes. Hi. Thanks for giving the opportunity. Sir, firstly, I wanted to understand the comment that you made around the enquiry pipeline. We are seeing moderation in the enquiry pipeline front, steel, cement, as well as oil and gas. I mean just wanted to get an understanding, we are seeing good CapEx happening across all the three sectors. Why are we seeing a moderation on that front? And could the moderation continue even in FY24 or it is only there for the balance part of the year? That was my first question.

Second question was largely on the fundamental side. I mean I wanted to understand the fundamentals of the process boilers. I mean the process boilers largely solve the purpose of steam, high pressure steam. Are there challenges with renewable energy going up? I wanted to understand that part on the fundamental angle. Thanks. That would be the questions.

Ashish Bhandari: Look, on our overall inquiry pipeline, if I take a look at maybe where we were a year and a

half ago, or even a year ago, your inquiry pipeline right now would be 20% plus relative to, in absolute terms relative to where it was. Relative to where our inquiry pipeline was four months ago, maybe we would be 5% to 10% lower. So, that is why I'm saying we've reached a plateau and especially in some of the larger projects, even in large projects, I would say we have a much lesser pipeline than in previous quarters, which is not to say that we don't like our pipeline. We actually, absolutely like our pipeline because a lot of it is good profitable base orders that you need to win through competitive workings with the customer but they're not really government-based orders as much. These are things where Thermax's differentiation, etc., may play slightly more of a role than otherwise. That's all I think I can share. I think I've shared as much colour as through some of the answers to some of the previous questions as well.

And what the outlook may be for the second half of the year also, in one of the previous questions, I've given as much colour as I possibly can. And to be fair, that is exactly how I am looking as well. We don't run by a number or specific number to it. We have got a lot of individual actions that add up and some of the bigger orders, you can't say whether you will win them for sure or not. What we are clear is, we don't want orders just to fill up a plant or otherwise. We're not at that point at all. So that was the first question.

Your second question on what does this mean? I think we can all have a debate on what the world will be 10 years plus from now. But for the next 10 years, you will need lot of process boilers for every application that you can think of. And even the whole move towards green energy, if anything, the process will need to change. It will need to change from coal to multifuel. Somebody is looking at biomass, somebody will look at electric boilers. All of those are actually opportunities. I don't think of them at all as something to be scared of. Anything complexity going up will typically help a company like Thermax which invests in technology and wants to stay on the front end.

So at least in the short or medium-term, I don't see any risk. There will be an economic cycle of course,

but I don't see a risk on technology or technology obsolescence of any sort affecting our business on the heating side at least.

Moderator: Thank you. Sir, we have a few questions on the line. Would you like to take them?

Ashish Bhandari: Rajendran, what do you think? Should we take one more question and call it a close after that?

Rajendran Arunachalam: Yes. Fine with that, Ashish.

Moderator: All right, sir. We'll take the last question from the line of Rahul Modi from ICICI Securities. Please go ahead.

Rahul Modi: Thank you for the opportunity, Sir. Just a couple of quick questions that I have. Sir, firstly on coal gasification, the pilot project that you developed. How is that progressing and the opportunity size going forward in that segment and some views on concept of community boilers coming up in the MSME space? What is your view on that, and how do you see that market going up? Whether that will enable our business in the boiler market or it sort of restricts the bit in terms of sizing? Your views on both will be helpful. Thank you very much.

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Ashish Bhandari: Sorry, I lost you a little bit. Maybe the problem was at our end. Could you repeat your question? First the community boilers, could you repeat that one and then I'll come to your first question as well

Rahul Modi: Yes. Sir, I had two questions. One was your thoughts on the concept of community boilers being prevalent in the MSME space and going forward, whether that is a way of going or what is our opportunity there? Whether it enables our opportunity or you think it restricts us?

Secondly, on the opportunity of the coal gasification which we had developed very successfully. So how do you see both the things panning out from here?

Ashish Bhandari: So, community boilers, I think is a good option and a good opportunity overall. But it will ultimately, from an overall market perspective, be less than 5% of the overall space. If it was zero sometime or very small a few years ago, I think especially, in places like industrial parks and all, it is a good option. The challenge is just that to drive steam over

long distances is quite expensive as well. So only in certain industrial parks, it makes sense and where it makes sense, I do think this will take on.

Our interest has been that these boilers should not be coal driven. They should be driven on different technologies and that's what we have been pushing and talking to the people setting up these community projects and providing steam through that. That's the answer to your first question.

To coal gasification, we are far from like a big market from a Thermax point of view. And there are two intermediate steps between where we are today and what can be like a massive business for Thermax. The first part is, we have a technology which is unique. We think for coal gasification, we have possibly, not possibly, at least with confidence we can say India's best technology and especially for working on high-ash Indian coal.

But what we have done and demonstrated is a small pilot plant. Between our pilot plant and a large scale plant that somebody can use is a 1000x kind of expansion, and that 1000x expansion is not something that somebody can overnight sign up for. So, Thermax will not sign up for INR 4,000 crore project where our technology will be put in and we will have to make a big investment that says, your technology, you are the one who is underwriting that entire project. That's not who Thermax is and that's not right either.

The intermediate project is more likely something that is of 50x scale up of our current technology, where also, we are willing to put some of our own money as risk capital.

But we are not a developer of a project. So, we need to find the right developer of the project, then we are working. Ultimately, our hope was that the government itself, after making such a big set of announcements, will look to push technology like what Thermax has developed across coal gasification, and we continue to work with the government to look at us as a partner. But it hasn't been easy by any means because the government has its own procurement rules and tendering process and all that. And none of that is easy. So, I would say I'm still bullish on coal gasification, but don't expect that this will become home run. But it has very much the potential to become a massive home run, and we're also working on carbon capture technologies and other parts that are important to making coal gasification a success. But the first part is, we need to go from a pilot scale to some sort of a commercial scale project and that will be the first thing. After we do a commercial scale project, a couple of years after that you can talk about doing big, big projects on coal gasification. So, we are at least four or five years away from anything really, really big, I would say.

Not at least, I would say we are four to five years away. But of course, if you're not able to scale up our technology and don't figure out the intermediate project, then we don't know what the future itself is, which would be really sad because we keep talking as a country about coal gasification so much.

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Page 14 of 14 Okay. So, that was the end of the story from our side. Thank you for listening in. Rajendran, any closing comments or anything that I have incorrectly indicated or otherwise?

Rajendran Arunachalam: No, I think there was one question on our investment (inaudible 1:09:41) which I can clarify at this time. We have invested close to about INR 92 crore in the business, including of last year. This year, the investment is about INR 52 crore. So, that I think is the valid data point that has been solved. I think, there have been many questions which have been already answered by you, Ashish. Ashish Bhandari: Okay. Thank you.

Boomika Nair: Thank you, Sir. Thanking all the participants for being on the call and thanking you Sir, for giving us an opportunity to host you yet again and wishing you all the very best.

Ashish Bhandari: Thank you. Thanks everyone.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2023

February 16, 2023  
To  
The Secretary  
BSE Limited  
PJ Towers, Dalal Street  
Mumbai: 400 001  
Company Scrip Code: 500411

National Stock Exchange of India Limited  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex,  
Bandra (E)  
Mumbai – 400 051  
Company Scrip Code: THERMAX EQ

Sub: Transcript of Analysts / Investors conference call for Q3 FY 2022-23

Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir/Madam,

Enclosed herewith transcript of the Analysts / Investors conference call for Q3 FY 2022-23 held on Monday, February 13, 2023. The same is also available on the Company's website i.e. <https://www.thermaxglobal.com/>

We request you to take this information on record.  
Thanking you,  
Yours faithfully,  
For THERMAX LIMITED,

Janhavi Khele  
Company Secretary  
Membership No: A20601

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"Thermax Limited  
Q3 FY2023 Conference Call"

February 13, 2023

ANALYST : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

MANAGEMENT : MR. ASHISH BHANDARI – MANAGING DIRECTOR  
& CHIEF EXECUTIVE OFFICER – THERMAX  
LIMITED  
MR. RAJENDRAN ARUNACHALAM – EXECUTIVE  
VICE PRESIDENT & GROUP CHIEF FINANCIAL  
OFFICER – THERMAX LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Thermax Limited Q3 FY2023 conference call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" and then "0" on the touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashish Bhandari. Thank you and over to you Sir!

Ashish Bhandari: Hello everyone and a very warm welcome to this call and wish you all a fantastic Monday and a fantastic week as well. As you know, we released our earnings a few days ago, and you would see a few different things from our earnings consistent with what we had spoken. First, on the orders front, while we see a lot of strength in our general momentum across industries, overall we have fewer bigger opportunities to work with, and that showed in this quarter. It will continue to show for the next few quarters as well. Second, on the revenue side, we spoke of moderating challenges on the overall commodities cycle, so that is showing as well that things are consistent and a lot more predictable. Overall operationally, I do not think we are having as many surprises, which is a good thing, so there is some consistency, and that consistency in some of those trends is also something we have spoken about previously. The third thing which is how is the market doing and what is the overall environment like; I would say still more glass full than glass empty. Tremendous set of opportunities, especially as we start to look at some of this climate change set of technologies - what they bring about, and so we are entering a phase for Thermax where our mix of the kind of work we do will go through continued change between now and the next couple of years and in that mix, a lot of hard work that goes through has to go through in this immediate period. This is also going to be a period that we will be looking to invest more, get back into some newer areas which may come with some amount of risk, etc., so that could be some of the framework that we have for our discussion today. Like previous times, would speak less at my end, would love to hear questions from you and answer those questions, so let us just get started with the questions.

Moderator : Thank you. We will now begin the question and answer session. We have the first question from the line of Sujit Jain from ASK Investment Managers Limited. Please go ahead.

Sujit Jain: Good morning. Just wanted to know you have spoken in the past about your opex business which is where you are putting utilities at the client end? What kind of capital employed sitting as on today that you have in this business, and what kind of ROC do you expect in that business?

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Ashish Bhandari: Rajendran would you want to take this question?

Rajendran A: Sure, so Sujit thanks for that question. I think we roughly have invested close to about - as you know, we have two businesses on this front. One is a solar business and the other is where we offer our steam and water treatment solutions on pay per use model, and then both of these businesses I think put together we would have close to about I would say about Rs. 400 crores of investments at this point of time and the internal IRR requirements I would not want to be sharing that exactly, but it is upwards of Rs. 15% plus kind of requirement that we would look for on the equity IRR side.

Sujit Jain: Okay, and if you can just split that between solar and TOESL, I assume first energy is the entity in which this solar business will be housed, and TOESL is the entity where this water treatment and other utilities business will be

housed right?

Rajendran A: You are right.

Sujit Jain: So if you can just give the split of Rs. 400 crores between the two entities?

Rajendran A: So roughly about while I presume that you will be talking about equity investments from our side, there would also be debt, and the overall capital employed would be slightly more. From an equity investment standpoint, our investments in First Energy would be nearing about Rs. 150 crores, and the balance of the investments is in the TOESL business.

Sujit Jain: And the debt would be in both these entities?

Rajendran A: The debt is a number which I will revert back and give you the number during the course of the call.

Sujit Jain: Is it safe to assume that TOESL will not have debt, but First Energy will have commensurate debt something 80:20 right?

Rajendran A: Both the entities will have debt.

Sujit Jain: Okay and 15% IRR for both the entities combined but I am sure that First Energy targeted

IRR will be lesser and TOESL will be higher and that is all 15% income right?

Rajendran A: No, I think as I said I just gave you a rough number on the expectations that we would have, but I think our internal numbers - we do not want to disclose that at this point of time.

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Ashish Bhandari: Rajendran I think it would be fair to say the weighted average is higher than 15%. 15% is our minimum expectation, and that is on the solar end. The biomass side comes in higher, solar is proportionately also a slightly lower risk project because the opex and some of the regular tenure of the contract, etc., it is a little simpler in some ways. Biomass, because of slightly more complexity, has got a bit more challenges and hence an expectation that the IRRs are higher as well. Traditionally our IRR in biomass has been about 3% higher than what we talk about on the solar side. Going forward also our investment will likely go more on the solar side than on the biomass side because the biomass side is already generating a fair bit of cash of its own. Even that is on a growth mode, but we will require let us say equity investments than the FEPL one because the FEPL one is on a much higher growth trajectory.

Sujit Jain: Sure and the margins that you have achieved in energy 7.6% gross, do you see further improvement going forward and reverting back to something like 9% to 10% you used to do?

Ashish Bhandari: I have been saying this for some time. You look at our businesses as a blend of three different parts. One of the parts that you spoke about yourself is the solutions business which is where we provide green utilities - whether it be solar based or wind based opex we are getting in. Our last two projects are wind and solar both, so it is hybrid, and then the TOESL portion as well - so this part of our business, we look more as what is your return on equity, what is the long term cash back relative to what you invested and not really at the profitability. Solar, as an example, will be a loss making business for us this year, and even next year it will likely be a loss making business because while we are putting up by next year, we expect to reach 200 megawatts from zero a year ago, so that is a very big ramp up so the whole team and everything that we have put together to be able to put that. The earnings that will come will be over a longer period of time, so even the TOESL business, as we look to take it international, take it in a much, much broader way, will be going through a period of investments. So both of these are businesses that we like quite a bit but will not likely provide the profitability that you are looking at in the immediate term. Long term, they have got very good profile. The second thing I would say - our projects business historically has been 5% to 6%. We think maybe you could increase the profitability out there to give more of a range of 5% to 8%, but that is the rang

e that it will go in. That business is also very good from the point of return on capital because it is running off a depreciated base. Very little capital goes in, it works on a negative working capital and growth path is there. So that 5% to 8% profitability we like. We manage our risks within that, we manage all of our vendor payments, customer, manage all the things that happen. All of it is managed in a negative working capital environment so we like to keep it that way. Then the third part that we have is our products business and products and associated services business. There I think we would like to strive to get to 10% business, 10% profitability. We are not there. If we get a longer run of a good

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economic environment and consistent commodity prices, I think we can aspire for 10% profitability. Though even there right now with all, everything that is happening in hydrogen and water is having multiple new technology trends; we want to be in a period where we are investing in newer things. So again, I would say 10% profitability may be something that we can do in our base business, but at the blended business energy, I do not think we will get to 10% soon.

Sujit Jain: Thank you. I will get back in the queue, but so blended basis it will be 5% to 10%?

Ashish Bhandari: So as far as blended basis, there is a long, big gap between 5% and 10%, my friend. Yes, I think we can do better to show how our three businesses are mixed up but you too can take a look. FEPL we will report out, TOESL we will report out. Both of them fall within energy.

We will start to report out some of our other elements as well, which is our TBWES business.

You can see that separate. Our projects business is somewhat familiar to our TBWES business. What remains after that is our products business, and the products business has got a fair bit of what is called environment. Here the entire water business and our environment pollution control business are very strongly product businesses. There I think as the blended number, we should be looking at a good at least 8% to 9% profitability even in the short to medium term and aspiring to 10%.

Rajendran A: Sujit I think I have the numbers which you were asking for. FEPL debt would be about Rs.120

crores, and our TOESL debt would be about Rs. 90 crores.

Sujit Jain: Thank you.

Moderator : Thank you. We have the next question from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.

Renjith Sivaram: Good morning, and congrats on a good set of numbers. Just wanted to get some thoughts from you in terms of the order pipeline going ahead in terms of the order funnel that you are looking at because even in the television interview, you were a bit not that positive? You were kind of trying to hint at the peak of the ordering is kind of overrun from here on? The high base will catch up, so if you just give a more granularity like what are you seeing here because even this quarter also we had a decent kind of a number in terms of order intake so how do you see that going forward?

Ashish Bhandari: So I have been saying that for some time now, and I think I have been saying this for two last quarters at least, that we do not see a big pipeline of big projects which were the petrochemical projects and the SGD projects. Both of those we have been saying that the wave is over and

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that specifically on petrochemicals, I think six months ago when there were actually two major projects, one for one major refinery. We had taken a step back from quoting at very low practice, and saying look we would rather go for some better margin businesses because we could see a fair bit of opportunity in a different set of projects, and I will maintain that we are seeing good momentum. We are not seeing any sort of concern that we have cr

ossed a

peak or anything. The topline will be a challenge because you do not have a Rs.1,000 crores and Rs. 800 crores order which we had two of last year, and we are still backfilling what remains with a lot of things that are in this Rs. 10 crores to Rs. 50 crores mix, and we have to fill a lot of them to get to a Rs. 1,000 crores order, as you can imagine. The fact that we are still doing it and coming somewhat close is the testament to an overall healthy pipeline that we see and an overall cycle capability that we see, and I will continue to be in that range. I think this year also we see reasonable momentum, and we see reasonable momentum going into next year. We do not see big projects, so if we do not see big projects, it will hurt our ability to show good growth in the order book side, but with that said, we should be getting into a place where we should be able to grow our order books somewhat at least that is the plan that we are building.

Renjith Sivaram: Okay, and if you can just throw some clarity which are all the areas where we are still seeing demand, and you are positive on?

Ashish Bhandari: A lot. If you take a look at and a lot of these are associated with energy transition - the steel sector is one which is possibly not driven by energy transition but is driven by lot of the steel industry coming in and saying look we need to put in new capex - so there we are seeing momentum. The entire sugar, ethanol, distillery space is continuing to be strong. It has been strong for 12 months. It will be strong for at least another 12 months, in our opinion. Cement - we have got new capacity coming in, so previously we were going through a wave of brownfield replacements for waste heat recovery. Going forward, we will be seeing new capacity coming in and then the tail end of the waste heat recovery cycle. Chemicals - we are seeing a wave of momentum which is continuing from what we have seen in the past. Decent activity in pharmaceuticals, decent in food and beverages, so overall strength other than a couple of sectors, especially refining and petrochemical, will be weaker, but otherwise, we see decent momentum across sectors.

Renjith Sivaram: Okay, and Sir what is the status of the European subsidiaries currently like we have all the challenges in terms of the winter and gas prices, everything over - or you still believe that there are some more challenges out there?

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Ashish Bhandari: No, we see I think improved numbers. The gas challenges and all have come down. They have reasonably strong demand as many of the European countries look to cut their energy supplies off Russia, so we are okay overall. I do not think it will be great. It will not become 8% to 10% profitability business, but as we look at the next 12 months, we do not see it as being a drain at least yet, we do not expect losses. We expect continued low profitability but continued profitability and reasonable volumes in our European operations.

Renjith Sivaram: Okay Sir, thanks and all the best.

Moderator : Thank you. We have the next question from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan: Sir, I just wanted to check on your enviro segment margins. They were pretty strong over the

last two quarters. Since the large issue of the FGD projects is largely behind, should we kind of expect with the next two that you are executing are at a much more better margin profile? Ashish Bhandari: So what was happening on the FGD is, as you can imagine, you have a base cost with the FGD business and because you look at a project based revenue recognition and there are some specific milestones that you need to hit to recognise revenue. So far as the revenue we were recognising was relatively small, which is why that base cost that we have, we were not able to liquidate it to the extent that we would have liked. FGD is now f

or the past two quarters

and especially in the last quarter and for the foreseeable future is getting into the place where revenue will start to get liquidated, so we do not expect as things stand for the FGD business to be reporting losses. It will not be making a lot of profit either. But we expect it to make consistent profitability going forward and with the revenue schedule that is may be slightly delayed relative to what we may have previously committed but only slightly - very, very marginally lower than what we have previously committed. Rajendran, anything to add?

Deepak Krishnan: Sure, Ashish may be another follow-up question for you. Just wanted to kind of understand while you are saying that we do not have large Rs. 1,000 crores order, but we have already declared close to an Rs. 200 crores ESP order. What is the pipeline in terms of those mid-range orders - the Rs. 100 crores to Rs. 200 crores because our base business which used to be about Rs. 1,300 crores then went to Rs. 1,600 crores, and today now it may be Rs. 2200 crores. It looks like it is sustained at these levels. Is that understanding correct?

Ashish Bhandari: I think maybe not Rs. 2,200 crores. It is not like I think even this particular order which you saw. It made the threshold by Rs. 1 crore, and the threshold was set when we were at Rs.

5,000 crores business that we need to report out anything that is above Rs. 250 crores and at one point when our threshold had gone below Rs. 5,000 crores, we were reporting things that Thermax Limited

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were above Rs. 200 crores as well. Going forward, we need to change our threshold, and to me this is also the SP order was not something that merited reporting out. It is just an order in the normal course of business. In the Rs. 50 crores to Rs. 200 crores orders, we have had quite a few in the last couple of quarters as well. So, it is not like we have not had momentum. We have had a fair bit of momentum and we will continue to have these kind of projects in the future as well. I think Rs. 200 plus crores orders, if we look at our pipeline maybe there are two or three more that are possible in the next couple of quarters, but I think we will be okay even if we do not get those kinds of orders. I think we see enough strength in the smaller book to be able to hit Rs. 200 crores order book on a consistent basis. I think that we should be able to achieve.

Deepak Krishnan: Sir my other question was more on terms of your investments into newer technologies like while we have indicated that we have been evaluating newer technologies for about six to nine months now? Any progress or any update that you think would be meaningful, probably over the next six to 12 months?

Ashish Bhandari: So we have been working not just for the last six to nine months. We created a new energy division almost two years ago to start working on some of these things. Some parts which you would be seeing in the background already happening are things around like bio-CNG where the orders are of the order of Rs. 40 crores to Rs. 50 crores, and we have kind of built up somewhat of a leadership position in the way we are working on municipal solid waste to bio-CNG, biomass to bio-CNG, getting into more and more things that are biomass related in several different ways. So that is one example where not only have we taken a position, but we have kind of started to work down. In solar, we had said which is not really new technology but for us was a new area to get into which was the opex solar. We started with solar; then we added wind, and now we are looking at cases where we can integrate storage into this as well and taking a business which was zero and now kind of getting to 200 megawatts in the next 12 months. We have a fair bit of confidence that we will have an installed capacity of 200 megawatts in a year. This is all homegrown, no MNA nothing - stuff

that we have put together ourselves brick by brick. So then you come back and say - look what are other new areas that are possible. We have been working on coal gasification for a very, very long, long time. Thermax has been working on coal gasification for may be more than six to seven years, and in the last one year we have demonstrated home grown Indian technology for coal gasification with confidence that if India wanted to work with high ash coal, our technology was perhaps the best one to look at and now we are working to say look help us scale up this technology because as Thermax we cannot go take a technology which we have developed and straight go into a Rs. 2000 crores project. We are wanting some set of Rs. 200 crores to Rs. 500 crores projects where we are willing to put some of our own

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money at risk to showcase this. The government has been taking about VGF funding for coal gasification projects, etc., etc., but all of that is still just not making its way to the ground, and we would love for some of this to be showcased. So that is an example of new technology that we have been working on. On hydrogen, we have been working on biomass to hydrogen, where we think we are working on areas which are relatively new. We are also looking at partnerships for hydrogen overall to get into some of the newer spaces as well, including electrolyzers, etc. Nothing to report right now, but very actively working at least in some of these spaces - looking at carbon capture, looking at various different aspects of what the new energy world will require, and as things mature, we will come back and share more details. So some that is here and now, some that is pregnant, some that is too early to speak about but where we think we need to invest and not. A lot of the questions which you are asking around - give me 10% profitability right now and I am saying this is not the time to ask for that because we need to be putting in some amount of our money as risk capital in some of these newer areas because without it we will not be setting the company up for the future. I very strongly believe that this is a great time to build a Thermax for the next 20 to 30 years, not just the next two to three years.

Deepak Krishnan: Sure, Ashish thanks for the answers. Those were my questions, and best of luck for the future quarters.

Moderator : Thank you. We have the next question from the line of Charanjit Singh from DSP Mutual Fund. Please go ahead.

Charanjit Singh: Good morning. Sir, first on the competition side if you can highlight from the product segment perspective - has the market been growing very significantly and we have improved our market share from the project perspective also how is our hit rate and the competitive intensity in terms of the differential between may be L1 and L2 or the lowest bidder. If you could touch on those aspects from the competition perspective that is my first question?

Ashish Bhandari: Okay, it is very competitive across the board. The kinds of products that we provide, our customers have choices and we are not at all in anything relating to a text base or anything that would come back and say that we have access to any unique technology which is not available to anybody at all. With that said, in most of the areas that we operate in, we have at least some sort of a leadership position where we can command some sort of a premium that is based either on the customers trusting us that this complicated solution Thermax can engineer it better than anybody else or because that the customer has a preference that Thermax just from as a partner of trust would be the one that they would look to work with. Of course, then you have government projects which are completely on an L1 basis where  
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also we have been prepared that below a certain margin,

we will not go and we perhaps

walked away from the biggest project in our history because the margins did not make sense so that as an example of where competitiveness is. Now let me take examples of all the first ones that I have spoken about. Like in the places where customers trust us to operate from an engineering and a technology basis better than our competitors, so the entire biomass space is something of that sort - biomass, multifuel, and waste to energy all of those. Our competitors can say I can do it as well, but Thermax has about a 40% market share across because when the application gets a little difficult customers to prefer to have some peace of mind, and they will come back and at least give us the last look. The last look may not be worth more than 2% to 3% but at least you get a last look. In our water business, we are not always having that technology edge, and our ask is to build a technology edge in water the way some of our other waste to energy and our heating and other places as well and our cooling solutions are. In places like bio-CNG that I mentioned, customers come to us with a clear preference and saying look this is the price I will do and look to negotiate with Thermax, but those we come to it from a position of strength, so that is the kind of one bucket. Second, are places where customers trust us to execute the project well and just a partner of choice. We are seeing this in solar. In solar, there is no technology difference. The difference between us and the next one would be may be Rs. 2 paisa to Rs. 3 paisa. Here where we would be expensive by Rs. 2 paisa to Rs. 3 paisa relative to the person who is not chosen in a way. In many cases we are not being chosen where the customer says - look I will give you a price but that price then looks like a 12% to 13% IRR for us, and we walk away from that business. IRR minimum threshold has been 15% to 16% on the solar side. We walk away from this, but many customers if they are putting their own money into a project like the idea that there

is a Thermax out there which is managing the 75% and a company that will be rock solid through the execution phase and we have got similar examples on larger waste to energy projects. The entire steel industry in a way is a place where we hope to work that way. TOESL is an area where we have significant market share because customers trust us to manage biomass better than anybody else, and here in India we have maybe a 90% plus market share in a TOESL kind of a business where the tough part for us is to convince the customer to go from coal to biomass or from liquid fuels to biomass, but after that, we do not have as much competition from somebody else just because we have extremely strong execution capability overall. Where we are focussed on as we go forward is to focus really deeply on the services part of our portfolio - bring digital in, and bring customers better insights from that digital capability, have AMC capability, rapid spare parts because these are all areas where we think we can grow profitably without really having the competitor to speak of and services have been growing for us at above 20%. Last year it grew 30%. This year also we expect it to grow. Next year also we expect it to grow 20%, so we have been able to grow services which are hopefully a more of a repeat kind of a business and grow that profitably and some of that is Thermax Limited  
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now showing in our bottom line as well as we go forward. So, a long answer to your question, but I hope I have given you a flavour of at least how we are looking at competitiveness.

Charanjit Singh: Yes Ashish, thanks a lot. That was very helpful. Just last question from my side is on the exports market. What is the contribution from exports right now, and how do you see different markets because of the various concerns that we are seeing in terms of export marke

ts slowing

down? Are you seeing any specific trends there?

Ashish Bhandari: So export markets, long answer again. So by export market, I will say not our international business, which includes Danstoker and PTTI and all that. I will talk about our export markets and stuff that we make in India and send outside. That portion of our business has been somewhat slow because we have not seen as many big projects internationally the way we used to see. Certainly, the Dangote kind of projects, even like three years ago, two and a half years ago when I was relatively new, we had a Pemex order that was quite nice. We do not see larger projects of that kind immediately. We are seeing a pickup in activity. We see a fair bit of activity in the Rs. 50 crores to Rs. 100 crores projects, and going forward we see a good pipeline of similar waste to energy projects in South East Asia and Africa and other parts. So, we like that pipeline overall, but we do not have anything big and dramatic to share internationally either. Where we are seeing good activity, I have spoken to you about. We are also seeing few examples of China plus one showing up in our export side where global waste to energy leaders previously, and by the way many waste to energy leaders globally have got no manufacturing capability of their own. They work on core engineering and then they partner, and most of that business was going to Chinese players. Now we see people coming to India, and we have broken through on a couple of these bigger names on waste to energy globally, and as we execute that projects, we are hopeful that they will come to us for more and more repeat business as part of this. Then the last bit is our chemical business which has been doing reasonably well, growing reasonably well, not growing as fast as our higher end expectations and that is because couple of those areas especially in the US are seeing some amount of slowdown, and it is a little bit of slowdown. We are still very, very bullish, but that team has missed our internal growth projections. It is still growing, but not at the higher end of what we expected. Overall, I think my number would be we have gone through like the highs of previous times that we have had on export, we are not there. We should be doing better than where we are right now, but still not any one big bang project to announce, but continued momentum based on a relatively low base that we are at.

Charanjit Singh: Got it. That was very helpful. Thanks for taking my questions. That is all from my side.  
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Moderator : Thank you. We have the next question from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Good morning team. My first question is broadly related to the domestic and the exports mix, especially on the energy segment of the market. If we see the run rate of the orders that we were winning in this market has steadily improved from 7 billion to 8 billion to now Rs. 1,000 crores plus kind of run rate so you did mention that now you are seeing a variety of mid and small size orders and the momentum remains pretty healthy. So excluding large orders in your view, should we be able to sustain a double-digit growth momentum over this Rs. 1,000 Crores run rate, or you think this is still a mix of mid and large size projects which are required

to drive growth from here on?

Ashish Bhandari: If India capex holds with this trend that it has right now and with some of the newer things that we are doing, a double-digit is something that we would like to see. We are planning, we are seeing at least pipeline because the problem with some of the shorter orders is that you cannot look too far. A large order you start working on it may be even six to nine months before it happens. The smaller stuff lot of it is in the mix, but the close rates depend completely on sentiment and overall look, and right now,

I would say the sentiment is positive.

Renu Baid: From your perspective by when do you expect to see some of these mid and large size projects from the steel sector because they are large and lumpy in terms of size; so from project timelines by when should those orders accrue to Thermax in terms of order inflows FY 2024 first half or second half - a broad timeline?

Ashish Bhandari: Second half of FY 2024.

Renu Baid: FY 2024 got it. Second on the energy international piece of the business, while in the previous question, you did mention that you have been trying hard in multiple segments, while the domestic refinery segments price pressure is refrained. But after Dangote, our credentials with quite a few oil and gas majors have been through, so how are we looking at order prospects in the oil and gas segment, especially from Middle East or Africa buckets? Do you think there could be something in the kitty in the next two years in terms of project pipeline, or it may still take longer on this side?

Ashish Bhandari: I think two years may be a more reasonable horizon. We do things that we are lot better or more widely accepted across the board, including right now portions of Latin America as well. There are two things going on. The first is right now there are no big petrochemical projects coming up anywhere in the world, which is perhaps also a sense of where the world

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sees its future. Even in the Middle East, you are not seeing any new refineries or petrochemical projects specifically coming up. There are quite a few downstream projects that are starting to come in, which brings me to my second point that I think Thermax can do more to establish its self credentials in some of these Middle East markets, in particular where we are a good name, but we are not a local name like local entity in Saudi. We do not manufacture out there, and a big chunk of the market of the downstream market is actually action happening in Saudi where it is happening for local manufacturing and local production - all of those kind of things. It is not something that we are deeply involved in. I think we are seeing a good set of projects, but I would agree with you that we are not as local in some of these markets where downstream activity is happening as we should be, and I am not committing that we are going down that road. Our focus has been South East Asia, and we put up a big plant in South East Asia. Right now, my primary focus in terms of where our money goes is more in new energy, and we do not want to go into putting up a new plant somewhere else internationally and getting that plant to three years of stabilisation and all that. Our focus is more on getting into some of these new energy areas and starting as India is our home.

Renu Baid: Got it. The other question would be as I look at the chemical segment, while you have highlighted growth across some of your sub-categories in terms of water, oil and chemicals how does the mix broadly stand at the end of nine months or probably at the end of 2023 and in your view if US slows - will the growth be incrementally driven by construction and water segment for us for the next 12 to 18 months and will that also have an impact on the margin mix?

Ashish Bhandari: I would say overall on chemicals at least, we continue to be quite bullish, and we are focussing on double-digit profitable growth again, and we will continue to look at capacity additions, adding new segments, new technologies, and new capabilities. So, we are preparing internally for a much longer investment cycle in chemicals with continued reasonable profitable growth which means and by reasonable profitability, I mean this teen's profitability and good growth but with investments and for a much longer period than just three to six months. We are preparing for a three to five year cycle on chemicals.

Moderator : Thank you.

We have the next question from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani: Thank you. Good performance on the profitability Ashish. Two questions from my side. If you could just help us within the energy we have this so called BB boiler business and the chiller business - if you could help us understand your underlying growth trends of this

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business in the nine months and the kind of growth that we are seeing - how profitable are these that is the question one and second is what has been our losses in our international subs and on the trend line of how do we see that will be useful to understand? These are my two questions.

Ashish Bhandari: I will take the second question first. I think that is an easier one to answer. Both are. I will give you direct answers on both. On international, I think we had I would say a trend which has been now going on for six months where we see better visibility and improved numbers. We do expect both our international subsidiaries which is Danstoker and PTTI, which are manufacturing subsidiaries, to be in aggregate profitable for the next 12 months maybe even the next 15 months of which we have visibility and both individually to be profitable as well which is the change from where we have been in the past and doing that with some amount of consistency. So PTTI, I would expect four out of the next five quarters they should be breaking even. Similarly, Danstoker four out of the next five quarters they may be breaking even. One quarter here or there because they both somewhat close to the edge in the 2% to 6% profitability range. Maybe you may have one negative surprise here or there, but I think they should both be okay for the next 12 to 15 months which is much better than where they have been for any length of period, and we have been seeing that order buildup in some strength for the last two quarters, and that is what gives us this confidence overall. I think that is my answer to your second question. On your first question, historically, our cooling business has been within our product business our most profitable business, which is not the case right now. If profitability has come down from high teens to mid teens and even kind of edging to the boundary of coming to double digits and not being teens profitability and that has been driven by and I am talking about EBITDA. Here there is a depreciation impact on that business which pulls it down even lower, but that is driven by two things on our cooling business. One is that commodity prices - the primary chemical that goes into this is lithium bromide, and lithium prices have gone up like four times, literally four times, lithium bromide prices have gone up four times, so that has created a lot of pressure on our cooling business. They have done a lot of cost out but even with that margins have fallen because we are working in a competitive space overall. The second thing that has happened is the mix within cooling has changed where a couple of applications that were driving our cooling business, those applications under the new energy world are no longer of interest to our customers where the customers who do gas fired engines and take the waste heat from those gas fired engines to drive our chillers, to drive chillers through our capability. So, those gas fired engines market itself is going down and which is the cogen market and so our need for chillers is also going down so it is being affected. Overall this has been the area where we have grown the least. With that said, cooling long term we are very excited about because India will need cooling solutions and industrial cooling solutions for the next 50 years, so we need to branch

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out into some of the other areas and build up our cooling business and our focus over the next th

ree years is going to be to build our cooling business and get back into an aggressive growth more but for that we will have to invest a bit in this business as well. On the other side, in our heating business, which is our small boilers business, we have been doing incredibly well. We have been keeping our market share at 40% kind of a number holding on to our prices, improving our profitability thereabouts and in this kind of space, we have been holding on our own, which has somewhat been reflecting in our TOESL business also having extremely high market share and here our profitability has been improving as well. So, our blended profitability number has stayed about the same, but cooling has been coming down in profitability, and heating business has been going up in profitability.

Bhavin Vithlani: Thank you so much for the elaborate answer. Really appreciate it.

Moderator : Thank you. We have the next question from the line of Amit Anwani from Prabhudas Lilladher. Please go ahead.

Amit Anwani: Thanks for taking my question. My question is on the FGD. You already highlighted that it depends on the threshold just wanted to understand how much is the FGD order book and how are we seeing the revenue booking coming in Q4 and FY 2024?

Ashish Bhandari: Rajendran do you want to take this question?

Rajendran A: Did I get you right in terms of what is the revenue recognition on the FGD side?

Amit Anwani: Yes Sir?

Ashish Bhandari: And the number we expect for 2024 based on the backlog.

Rajendran A: Sure I think Amit, roughly the revenue recognition would be between Rs. 500 crores to Rs.

600 crores for the full year during this year in FY 2023 and in FY 2024 as well.

Amit Anwani: Sure Sir. I just wanted to also understand in our book how much would be the base order and how much would be the proportion of large orders, and what is the average duration of the large order?

Rajendran A: You are talking specific to FGD or overall?

Amit Anwani: Overall book.

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Rajendran A: So I do not think Amit we would have any sense of the way that you are asking. We have bagged a few couple of orders in the last one to two years. We have highlighted to you a couple of large orders that we have won - the FGD one as well as the sulphur recovery block order that we had won, so I think a couple of orders are there which are large in the Rs. 500 crores to Rs. 1,000 crores range which we have deployed in the last one to two years; however having said that in the last three quarters you would notice that we have not reported any large orders of that size - neither in FGD nor in the other businesses. So, I think you should note the large order businesses are obviously with the execution coming down, and our orders of the regular sizes are the ones which we will be executing going ahead.

Amit Anwani: Sure my last question is on the order pipeline. We mentioned that there is some moderation seen on the refineries in kind of large orders. On the other hand we are seeing the oil and gas companies continuously doing capex, so any specific thing you would like highlight why we are seeing the pipeline moderating on the oil and gas segment?

Ashish Bhandari: Could you repeat. I think I lost you at the end. You talked about oil and gas and refinery.

Amit Anwani: Just wanted to understand why are we seeing moderate order pipeline?

Ashish Bhandari: Completely you can take a look - India Reliance stopped announcing any new projects on oil and gas and refining for all practical and it is not that we are not doing. We do a lot of service work. We do a lot of smaller - which are upgradation, brownfield projects, and service opportunities. We do have lot of that. What has stopped is the new refineries so India announced the HRRL Refinery, which is the one in Barmer in Rajasthan and after that there has not been any new refinery announcement. There are talk

s that the Bina refinery will start

again, and whenever the projects come for Bina refinery - if and when they come, we will show that in our pipeline again but it is completely driven by a cycle. When Covid was going on, lot of the backlog on those large projects was accumulating. In the second year of Covid, a lot of those projects got released and closed out, but now we do not see as much new activity. I think if we wait a couple of years, the new activity will come back. I do understand like Nayara is planning a big investment. HMEL is planning a big investment. The Bina refinery is looking to get accelerated again but they are not in the next 12 months. So, I think the action may move 12 months plus from now.

Amit Anwani: Sure last question if I may squeeze in. On the MOUs which we used to talk about I think last year with power roll on solar films and air independent propulsion system for submarines - any update you would like to share on this?

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Ashish Bhandari: I think power roll was a very, very small MOU and that was 15 to 18 months ago. I do not think while we look to watch that space closely, I do not think there is anything imminent that can come from that. The independent air propulsion systems are something that we continue to work closely with the navy on. We expect continuous order supply from the navy for these systems. It has been very tough to understand that when the navy comes in and says look I have got these 100 units of this that I need, why would they not place orders and we have been having a tough time running the plant just waiting on orders from the navy because it just goes through this very difficult ordering cycle within. So we have reached the point that we have said we cannot run losses anymore, and we will only execute even a single order if we have visibility into a continuous long term order book from navy. We are very hopeful of making this come through because we have worked for years on this, and there is nobody else who can do this in India or even otherwise. So we are very hopeful that we will reach a point of consensus. We are close, but we are not there yet, so that is on that second one. What else did we announce as MOUs?

Amit Anwani: I think that is about it Sir.

Ashish Bhandari: So otherwise, I think we are quite active on many of the waste to energy things that we announced and the EverEnviro one that we announced. There are quite a few others that we continue to be extremely active on.

Amit Anwani: Thank you very much Sir.

Moderator : Thank you. That was the last question. I would now like to hand it over to Ms. Bhoomika for closing comments.

Bhoomika: I would like to thank Mr. Bhandari and Mr. Arunachalam for answering all the queries and giving us an opportunity to host the call as also all the participants. Sir wishing you all the very best. Any closing remarks from your end?

Ashish Bhandari: Nothing from our side. Thank you very much for your time.

Moderator : Thank you Sir. On behalf of DAM Capital Advisors Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## **Call: May 2023**

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## **Call: Aug 2023**

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**Call: Nov 2023**

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## **Call: May 2024**

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**Call: Nov 2025**

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## **Call: Feb 2026**

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# Call: May 2026

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"Thermax Limited  
Q4 FY26 Earnings Conference Call"  
May 08, 2026

MANAGEMENT : MR. RAJENDRAN ARUNACHALAM – EXECUTIVE VICE  
PRESIDENT AND GROUP CHIEF FINANCIAL OFFICER –  
THERMAX LIMITED

MODERATOR : Mr. KUNAL SHAH – DAM CAPITAL ADVISORS  
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Thermax Q4 FY26 Earnings Call, hosted by DAM Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kunal Shah from DAM Capital. Thank you, and over to you, sir.

Kunal Shah: Good afternoon. Welcome to the 4Q FY26 earnings call of Thermax Limited. We have the management today, Mr. Rajendran, the Group CFO and Executive Vice President. Over to you, sir, for the opening remarks, post which we can take up the Q&A. Thank you.

Rajendran Arunachalam : Thank you, Kunal. Good morning to all of you. For those of you who have joined the call. Upfront would want to inform you that Ashish Bhandari, our Managing Director and CEO, normally heads the call, he's on travel and he is unable to join this call. I will be taking this up today. I would be happy to answer your queries. Broadly talking about Q4, I think we came good on our plans for revenue, execution of jobs and resonating revenue this quarter better than the prior quarters.

Our profitability was planned for us. The order book number, I think, as you must have seen and as an earlier disclosure we had done, we've booked a supercritical job about roughly INR 1,600 crores. So that has increased our order book number for the quarter. However, excluding that as well, our order book for the quarter has been reasonably robust.

I think on overall, other performance parameters and the cash balance, you must have seen the Investor Presentation. We're partly better off than the prior period. So I'll keep that comments brief and would take any questions that you may have on the Q4 numbers.

Moderator: The first question is from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan : My first question is in terms of the inquiry pipeline for the traditional sectors that generally include orders, including steel, cement, power, oil and gas, how is the momentum there in terms of inquiries and pipeline of orders? That's the first question.

Rajendran Arunachalam : The general order book outlook, both from a domestic perspective as well as on our international front, is reasonably fair, reasonably robust. We're seeing a good pipeline in the sectors that you mentioned. Some of the large -- on the projects side for our Industrial Infra business as well as for our Industrial Products business, where there are other sectors like pharma, chemicals, FMCG that we focus upon.

I think the order pipeline and outlook for -- are heating or water treatment, air pollution control

businesses are also reasonably there at this point of time. So we feel confident of how the working platform looks on our order trends now at this time. However, a point to note would be  
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the impact of war prolonging and any other further impact that could be having across various industries, both domestically and internationally.

If that was to develop more on that front, then I think we believe that there could be some impact going ahead in Q2, Q3, which we all have to watch out for. So I think that's the cautious part that we have to be on the outlook front.

Ravi Swaminathan : And are there any pipeline of large orders from the power and steel side, just like we got this quarter? Can something similar pan out in the 20 to 24 months?

Rajendran Arunachalam : Not sure of that -- well, there are quite a few on the refinery side and others that we are working upon, but I think there's one which we are reasonably confident of having a

win, which is on the

data centre side. But that's more on the energy front for our Industrial Infra business ; this is for a supply of boilers to a steam turbine -based solutions for a data centre opportunity in the global market. We're looking at that closely, and we are hoping that we'll be able to conclude that. We'll see if and when that comes in quarter one.

Ravi Swaminathan: Sure, sir. And with respect to data centres, just double-clicking on the kind of opportunity that is there, what would be the addressable market in India and outside India, especially the US, that we can end up catering to? Is there any market size for it, for the chillers and possible boiler supplies also?

Rajendran Arunachalam : Okay I think, Ravi I'll take this as your last question, so that we can come back on other questions as well from others. Yes, answering this particular one on the data centre opportunity is I think the first one which we informed you was of the cooling opportunity that we had both in the international market and the domestic one.

The orders that we booked in the quarter three. The outlook on that cooling opportunity remains robust for us at this time. However, we haven't yet quantified the way that I think you would be looking for in terms of market opportunity, target market share, etc. Which we would going ahead be able to do it for you, but at this time I think we have no numbers to share on that front. On the other part of this data centre opportunity is the boiler side opportunity that has come by. So that's an interesting other solution opening for us in terms of revenues. So that's a good part that we see on that opportunity.

Ravi Swaminathan: Got it, sir. Thanks a lot.

Rajendran Arunachalam : Thank you.

Moderator: Thank you. A reminder to all the participants, please restrict yourself for two questions. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes, good morning, sir. Thanks for the opportunity. My first question is on the data centre, sir. What is the capacity of the data centre for which you are supplying your cooling solutions? Is it possible to share that number in megawatts?

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Rajendran Arunachalam : Mohit, I think I can get back to you on that. I don't have it offhand. We will share that with you separately.

Mohit Kumar: Unders tood. My second question is around green solutions; in this quarter, I think we have the losses in the quarter. Can you just explain the, what led to the losses and what is the megawatt which has got commissioned at the end of, by the end of FY26?

Rajendra n Arunachalam : So I think we have two sets of businesses under Green Solutions, as you're aware of. One is the Thermax Onsite Energy Solutions that we talk about, which is the biomass -based heating solutions that we provide to our customers on -site. And the other is the wind and solar energy hybrid solutions that we offer to our customers, both on BOO basis, one is on the captive power side that you're aware of.

I think our Thermax Onsite Energy Solutions business has done very well. I think stable set of numbers from there. The challenge has been on the First Energy business of ours. We've had one challenge on a project that we are executing down south where one of the contractors has failed to perform as per the contractual terms. And that has forced us to step in and complete the contract or continue execution of that contract. And so there's been a cost overrun on that account, which involve picking up some of the challenges which are new to us at that location. So I think it's incurring a bit more of the cost than we had planned originally for, and that's the cost additional incurrence that we're having, which is reflecting in the results for the period, which, which is the unexpected impact to our bottom line. From the capa

city part of it, we are

thereabouts of about 250 megawatt on ground with two, three large, one which has been commissioned as on 31st of March and two, three other large projects, one in Gujarat and two more – with one in South, which I talked about earlier, which will be commissioned in the next two, three quarters. So I think those would add up to the balance that I mentioned. And I think FY27 we would probably, close much better than this number.

Mohit Kumar: Understood, sir. Thank you and all the best. Thank you.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Yes, thank you for the opportunity. Rajendran, the first question that I had was on margins in the top two segments where one could not see any impact of RM headwinds while you do call that out in your presentation. Just trying to get a sense whether the margins were impacted by RM headwinds or is that something that can happen incrementally?

Rajendran Arunachalam: Thanks, Aditya. I think that's an important question for the quarter. We haven't shown any large impact on the raw material cost for this quarter for sure because I think the impact came quite, because of the war sometime in the month of March, by which time procurement for the quarter had all been completed, and the execution was in progress.

So I think the price increases that we have seen in commodities across from steel to styrene to our copper, nickel, etc. I think for all of them, we have seen the price movement for sure. You're aware of them as well. That is a bit of a challenge for us in this quarter. Having said that, I think traditionally, I'm sure you have seen that our margin impact on our Industrial Infra, the project

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business is fairly controllable, given that we end up tying up on a back-to-back basis on all our bought-outs as well as on contractual cost for large orders.

However, on the Products business side, we would have a typically shorter range of visibility on the inventory front coverage that we will have. So, we would be exposed to some of these challenges that we are having going ahead on the Industrial Products side. Having said that, these increases have not been substantial as you will also notice.

And we are handling the situation at this point of time. We would be able to end with some coverage available on the inventory front as on March, I think we'll be able to give you a more, better understanding of the impact by quarter 1 numbers. Thanks, Aditya. I hope I answered your question.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Thank you for taking my questions, Rajendran. My first question is coal gasification. This is one opportunity where we are technology ready, but we've never had a chance given that the commercials have not worked. Now that this is a global problem in terms of post the West Asia crisis, do you see any shift in government policy, any viability gap funding, etc., that has been spoken about for the coal gasification opportunity? That would be question number one.

Rajendran Arunachalam: Yes, thanks, Pulkit. I think overall, you're right in identifying the opportunity vis-a-vis the current energy crisis. We believe that many of our green energy sustainable solutions that we offer currently, I think are bound for a better brighter market going ahead. I think you talked about coal gasification. While we haven't won any in the recent past, but we're sure that you know in terms of government coming in to support some of this – is something that we would definitely look forward to.

But just to mention and simultaneously in another one, Bio-CNG -- where we see more of state government policies coming in to support that, in a similar way, a better opportunity that is

going

to come in for our Bio-CNG business. And similarly, for other solutions that we already have at this time. So yes, overall, I think this energy challenge for India is a good opportunity for us on the green solutions side.

Pulkit Patni: Sure. Your line is actually not very clear, but yes, I did get what you said. My second question is on data centres. Since bulk of the data centres globally are not being put on captive power plants or thermal power plants, it's either grid or renewable. Is the opportunity size for us in terms of cooling towers relatively small to the overall cooling tower or, or say the chiller opportunity? I'm just trying to understand even if you don't want to talk about the numbers, but the area we can cater to within the data centre opportunity is relatively limited, given that we'll mostly be using thermal heat in order to convert into those chillers. Is that understanding right in the first place?

Rajendran Arunachalam: So, Pulkit, I would not be able to answer that question in much detail right now, but I will try and get back to you on this to help provide that understanding on that end.

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Pulkit Patni: Sure. No problem. Thank you so much, Rajendran.

Rajendran Arunachalam : Thanks.

Moderator: Thank you. The next question is from the line of Kartik Kohli from Kotak Securities. Please go ahead.

Kartik Kohli: Hi sir, thanks for taking my question. I had a couple of them. First of all, I wanted to understand where is the progress for us on the coal gasification side? As far as I remember, there has been progress in a Pune facility where your technology has been broadly finalised. Is there progress on that front? Do you see incremental orders that you can do or partner with players who can utilise your technology? That's my first question.

Rajendran Arunachalam : Yes, Kartik, I think your understanding is right. I think we have the technology solution tested fairly in place. But I think the technology solution in my understanding, hasn't become viable for the market players to progress on this front. So this is an area that we've been working on with interested customers who would want to test this out and who would have this in their plans for a sustainable energy solution.

And I think from an earlier discussion that we had in this call, we are hoping that the government would provide some support, and this particular area picks up. So at this time, there's nothing that on the order front that I have, an update for Q4. But going ahead, we're hopeful that things would get better on this space.

Kartik Kohli: And so your strategy here is broadly on the lines that you will be only offering technology and doing technology partnership, you will not be taking on the risk of executing the full project. Is that understanding correct?

Rajendran Arunachalam : No, EPC capability we hold. So I think EPC would also be an opportunity for us in this.

Kartik Kohli: But do you, like is there -- as far as I remember, there were some talks in the past that you'll be limiting yourself to smaller projects initially or is that?

Rajendran Arunachalam : Yes, that's for sure. I think we talked about on the EPC front, on the Industrial infra, what we have been telling the market is that we have been cautious on the margin front. And that I think would apply here as well. Otherwise, I don't think we're shying away from orders, just that we would be cautious to make sure that our margins bit are protected. That I think would be the criteria. Yes. Thanks, Kartik.

Moderator: The next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: Yes, sir. Sir, what is the outlook for revenue growth next year, given that this year the consolidated revenue growth was just about 3% to 4%? And obviously our order book has, you know, filled up quite

a bit?

Rajendran Arunachalam : So, yes, I can't, while I can't give you a number per se, but I think Atul, yes, the order balance, which is about 27% better than the prior period closing, gives us a better opportunity in terms of posting better, good numbers on the revenue front. Having said that, I think we have to look

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forward to executing better and specifically some of the site challenges and the delays that we have seen across customer sites on civil and other places. I think those have been the disturbances in the past that we have seen and have been a bit of a cost for our revenue performance over the quarters.

And I think also the Middle East -related crisis, while at this time it does appear to be something that we have to watch for. I think these are one or two things that I think we have to keep in mind with the good order balance that we have for the execution ahead. But we are confident that the execution plans that we have across various businesses of ours should come through. And I think the quarter one and quarter two with this order balance would tell us really as to how we're able to catch up. But yes, overall quite positive on our execution front.

Atul Tiwari: Okay. And sir, as of now, I mean, I know it is still very early days and probably the impact of fuel prices and shortage of gas and petrochemicals is still ahead of us. But, you know, looking at your client base and across industries, what is your sense? Are we seeing a fair bit of disruption to business activity, especially for small-scale industries? And will it have some kind of adverse consequence for your order, say, especially in the Industrial Products segment?

Rajendran Arunachalam : Yes. So I think -- well, you picked up the Industrial Products segment, but in terms of disturbance, as what you talked about, I think we've had some bit of a challenge, really, on our Chemicals business, I think, which I haven't covered earlier, but I thought I'll speak about it now. I think our Chemicals business is having a challenge clearly on the raw material side, because many of the -- some of the key raw materials, like styrene and some on the water treatment and construction chemicals have been disturbed in terms of supply as well as price increases. So, availability and booking some of the raw materials for our execution, I think at higher costs and correspondingly having to manage the prices with the customers to avoid impact or contribution. I think that's been one reasonable challenge for our Chemicals business at this point of time.

We're doing our best in that regard, and we are hopeful that we should be able to maintain our margin numbers and the volume that we have planned out for quarter one. Yes, and extending the discussion to what you had talked about in terms of smaller this thing, as well as our Industrial Products business is getting impacted -- yes, I think what we started seeing in the month of March, was with regards to the gas availability impacting fabrication, smaller units, and that of course getting stabilized down the line.

So yes, some bit of challenges around it and the raw material price increases on various commodities that we have talked about have definitely impacted operations for some of the smaller vendors. And that's where I think I talked to you about the cost pressures for quarter one.

Atul Tiwari : And sir, finally, what is the planned capex for FY'27 console entity ?

Rajendran Arunachalam : So I think that you will have a regular capex of about INR 100 crores, INR 150 crores of regular capex that we would be doing. Apart from this, I think we have a few capex that we have planned on some bit of capacity expansion in our boiler facility as well as in our cooling facilities.

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They are more like not, I think, I would say, some bit

of a capacity line extensions kind of capex.

I think, put together, the number would roughly be about INR 250 crores.

Atul Tiwari : Okay. Thank you.

Moderator : The next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC. Please go ahead.

Saif Sohrab Gujar : First question is on the supercritical boiler order from MB Power. If you can just elucidate more on this order in terms of the execution period? And specifically on a supercritical boiler from, say, other utilities -- are there similar tenders in pipeline?

Rajendran Arunachalam : So supercritical opportunities, I think would continue to be there. And I think we have, I think, clarified in the past vis-a-vis stands and on public sector opportunities and the private sector opportunities. And you will note, of course, our preference on the private sector space. And I think this particular one is also on the private sector, as you can see.

This order would get executed over a period of 40 to 45 months timeframe. And yes, I think the order value that we have disclosed about. And I think the year one would be more focused on design engineering and ordering. And I think it would pick up speed in the coming periods.

Saif Sohrab Gujar : Got it. And second question on the Middle East part, how much is the exposure in terms of sales for you and specifically each of these segments, maybe on Industrial Products and Industrial Infra? On those exposure, are you seeing any execution challenges in terms of the supply chain or cost of payment challenges?

Rajendran Arunachalam : Sorry, can you just repeat the first part of your question? I missed a bit of that.

Saif Sohrab Gujar : On the Middle East exposure in terms of sales, which you would have on Industrial Products as well as Industrial Infra, how much is that? And any cost or execution challenges in terms of the supply chain or any payment release currently being noticed?

Rajendran Arunachalam : Yes. So I think Middle East has been a good opportunity for us over the last two years. I think we've been mentioning that so the opportunity has some order balances for execution at this point of time for us.

We haven't seen specifically any delays at this stage -- at this point and things are fine. Having said that, in terms of future opportunities, I think hopefully, there could be more given the damages that have been there on account of the war.

We are hoping for some of the facilities coming around on account of that. But yes, price cost disturbances due to freight and other things were a reality when we were executing it in the month of March as well. And that's the space -- place that we will have to be watching about.

However, no executions have got delayed per se at this point of time.

Saif Sohrab Gujar : Can you quantify the exposure say, Middle East, in percentage of order book or something like that?

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Rajendran Arunachalam : I think we did disclose to you that in quarter three, in quarter two, we had booked a large -- INR 450 crores order on the Middle East front in our Industrial Infra business. That's one among the large ones. The other one will be in our Industrial Products business, which will be of smaller values. So I don't have a consolidated number for Middle East on the order balance this thing, but we will see whether we'll be able to get together and disclose.

Saif Sohrab Gujar : Sure. Thanks and all the best.

Rajendran Arunachalam : Thanks.

Moderator : The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar : Hi, congratulations on ending the fiscal year with a very strong line.

Moderator : Amit sir, sorry to interrupt. I would request you to be a little bit louder or get the handset near to you.

Amit Mahawar : Yes, is it fine now.

Moderator : Yes, that's better .

Amit Mahawar : I think my question is on Segment one

, we can see a very strong momentum, and this has been there for driving compliance and maybe package boiler business. Can we grow at like 15%, 20%, next year on segment 1 and because you also have some large wins impacting Segment 1? And second question is on Segment 2, where in the Babcock segment beyond the utility supercritical order, you might have quite a few large boiler orders. So can we broadly achieve a 2X topline in '28 vis-a-vis what we did in '25, '26 on second segment?

Rajendran Arunachalam : Okay. Yes, I think on the Industrial Products bit, I think, well, yes, the Boiler business is one specific segment and the large segment -- the largest business within that segment. I think we've been commenting over the last couple of quarters or probably more on the increasing mix change that's happening in terms of our growth in our pollution control and water treatment businesses more significantly. So I think the growth of those businesses has been robust as well.

So industrial boilers, I think the growth continues to be reasonably good. On your ask as to whether they would see a 15%, 20% growth, I think I will get -- go back to my comments on that the reasonable working platform on the order book looking good for us on Q1 .

But I think we'll have to temper that with the war impact, of course, with industries and what decisions that could cause on the capex spend , which we'll have to watch carefully. So at this time, I think reasonably optimistic, but I think cautious on that for the future.

On the Industrial Infra side, yes, I think you have seen the recent trend of sales that we have been declaring on the Industrial Infra space , especially for the large boiler business. I think we declared one in Q2, another one in Q3 from Dangote .

Amit Mahawar : Sir, I think there's slight disturbance on the line. I'm sorry, if it's only...

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Rajendran Arunachalam : Is it better , Amit ?

Amit Mahawar : Yes. Okay.

Rajendran Arunachalam : And the super critical order in quarter four that we talked about -- and I just saw in the call, talked about another opportunity on the data centre side on the energy front. So , I think we are reasonably seeing a good bit of orders.

Yes. So, I was talking to you about the strong momentum on the large orders that we are booking apart from the regular ones that we have a pipeline of -- so yes, I think we're bullish and confident of that business doing well. This is the pipeline that we are seeing. So I'll limit my comments to that, and I hope I answer to some extent.

Amit Mahawar : Yes, thank you. And good to see the leadership programmes at Thermax working very well. Thank you.

Moderator : The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Hi Rajendran. Congratulations on a good quarter. So my first question is on the boiler opportunity, which you spoke about on the data centre side. So , is the boiler model opportunity much bigger in the global markets or the cooling opportunity? How does one look at this?

Rajendran Arunachalam : I think honestly, Parikshit , this would be a difficult one to quantify at this stage. These are opening up for us. We've been making a similar commentary on the cooling front as well. We've seen these opportunities. We won the first set of ones.

I think you'll have to give us some time to be able to assess this and let you know both on the energy side as well as on the cooling side. So, give us some time on this one.

Parikshit Kandpal : But the data centre one is on the large boilers. I mean, will it be done through the TBWES or can directly do that?

Rajendran Arunachalam : It will be done for TBWES business.

Parikshit Kandpal : TBWES business. Okay. And the second question on the capex, I think capex and capacity building on the cooling side last time, I think it was mentioned by the management team that given how this order performance is, the market is quite big and competition and pricing is not that of a concern. So how are we planning for building capacity and the capex on the data centre business side? So if you can help us understand.

Rajendran Arunachalam : We have a reasonable facility to be able to handle this demand requirement at our Sri City site for our cooling business. And I think , I earlier mentioned that there is a capex on a line building that would be an expansion we are doing this financial year. And that would come to support the growth, the demand, the additional demand that we can expect on this particular one.

Parikshit Kandpal : Okay. Those were my two questions. Thank you.

Rajendran Arunachalam : Thanks.

Moderator : The next question is from the line of Priyanka Biswas from JM Financial. Please go ahead.

Priyanka Biswas : My first question is, sir, I see that compared to FY'25, it seems there has been a substantial working capital build vis -a-vis the last year. Can you please provide -- what are the causes for it? And is there some way that we should look at a reversal of this working capital in the next year? How should we see it?

Rajendran Arunachalam : Yes, I think this is well observed. You're right. I think we've had a bit of working capital increase in this particular quarter. This has been caused by some project delays and, hence, the related collection delays on some of our receivables as well.

As the retention has happened across a few large orders as well as overall, and some portion of our Industrial Products and Industrial Infra businesses. We're conscious of this fact, and we are focusing on this in the coming quarters to get back to better numbers for working capital and would remain a focus. So yes, thanks for spotting that.

Priyanka Biswas : So, should we see like this coming up, let's say, if not, let's say, next couple of quarters, but maybe over a period in FY'27. Would that be the right way to look at it?

Rajendran Arunachalam : Yes, it's not going to -- well, I'll be hopeful that we should resolve all the overdues in one quarter. But yes, the business reality is, I'm sure that we would be able to work it over the next couple of quarters.

Priyanka Biswas : Sir, the second question is that we had won this contract in Dangote, if I remember, in third quarter. Now, usually what we have seen from Thermax and also other companies involved in, let's say, Nigeria and those countries, like in cases where hard currency, that is USD or EUR availability, is kind of like a stress

And when those countries go into sort of fiscal stress, like execution difficulties tend to naturally crop up. So, given that has happened in the past history, what are the risk mitigation measures that we are taking specifically for Dangote?

Rajendran Arunachalam : So see -- while I think this has been in the past, we've experienced it as well, though not specifically in the large orders that we executed in the past, which were backed up by letter of credit and which will be the case quite a bit. Currently, I think the currency, if I have not been closely following it, but if I know what we have seen in the recent past, those issues are fairly stabilized for Nigeria. And with the oil prices where they are, I think things are fairly stable, is what my last understanding of that matter was.

But yes, we're conscious of that, and so we do take care of our payment terms to be secured and so that we are not unduly exposed on the credit risk side, and that would be the case for this as well. So meaning, I think we'll be cautious on this front for sure.

Priyanka Biswas :

So that was broadly, just if you can answer a bookkeeping question because a lot of the orders that have happened this year, and hopefully the next year, is TBWES. Can you provide, let's say, a broad ballpark number of what would be the order book of TBWES and maybe its revenues and margins for FY26? That's what I'm wondering.

Rajendran Arunachalam : For FY'26, I think you'll like to wait for it as you know that this is a separate subsidiary and a 100% subsidiary, so its financials will be available in the public space, and I think you should wait for it. Yes, we'll get that out.

Moderator : The next question is from the line of Shirom Kapur from Jefferies. Please go ahead.

Shirom Kapur : Just want to ask you a little bit more on the large boiler order that you received in March. So what would be your capacity on these boilers -- like how much could you execute? How many more orders could you take on in this field?

Rajendran Arunachalam : So I think we have three facilities for this particular, overall for the boiler business. And I think we would be able to execute this particular one. And while I think, yes, to the extent that there have been other demands as well. We talked about it on the order flow side, as the regular business that we would have. I think our ability to service would be constrained to that extent of capacity becoming available, and I talked to you about the expansion that we are doing to debottleneck the facility to a certain extent.

So that would keep us ready for any opportunities that might come in the future. But I think, and we also have the ability to develop and execute some of them through outsourced facilities on the fabrication front. So I am fairly confident of what we have won and what we will be able to execute.

The supercritical opportunities, if they were to come, we would obviously be looking at them closely on our abilities to pick them at the right price and being able to execute. So I don't think I answered you fully on the capacity front, but I think that's something that we look -- we review

that closely in terms of the ability to execute orders.

Shirom Kapur : Understood, sir. And would you be able to give some sort of quantification of the pipeline for these kinds of boiler orders, specifically these large boilers? Like, what is the bid pipeline? And what is the outlook for the next two to three years or in the near term, one to two years?

Rajendran Arunachalam : I don't have that number, sorry. This particular one, I don't have at this time to share.

Shirom Kapur : Sure sir. Thank you.

Moderator : The next question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani : Sir, I have two questions. One on the legacy orders, which were pending earlier to an extent of around INR 500 crores to INR 600 crores in the books of the company. So, what would be the status of those legacy orders?

And my second question is regarding the margin profile for the large orders that you have booked, both on the data centre side and even on the boiler side. Is the margin profile on those orders much better than the margin profile that you are currently having in your current set of business? And ultimately, how do you see the margin profile for the upcoming orders also on these two areas?

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Rajendran Arunachalam: Okay. I think we probably failed to put an update in the investor presentation that we were planning to. On those low-margin orders that we had specifically in our bio-CNG business as well as our FGD business, as well as some bit on our Projects and Energy Solutions business. I think we almost executed them.

The bio-CNG one, I think is very clearly there. But I think the large project NRL that we have talked about on the bioenergy solution

s and the two large FGD projects that we are currently executing on the balance closure completion.

NRL one, I think we talked about the cost overruns and this thing. We're hopeful we're keeping an eye on it, and I think it would take the entire year and a bit to get that order to its closure.

We're hopeful that we have the right cost estimates at this time for its closure. However, the FGD orders that we are executing at this time are better off for us, and the margins are stable there.

On the bio-CNG side, we are in the performance trial stage for most of our orders, and I think quarter one and two of those this year, we should be able to complete them, and that should settle them. So, yes, and all the new set of orders that we have booked across our Industrial Infra, Industrial Products, I think, in every other places -- they have been with better margin target profile that we have internally. Talking of this cooling as well as the supercritical order that you talked about, the margins on the cooling one are good and on the supercritical one, we have been conscious on the margin front when we booked this, and I think they are stable and as per our target margin profile for the particular segment.

I wouldn't be able to obviously talk about the margins specifically because it's a single order and I'm sure you'll appreciate that.

Teena Virmani: Yes, sure. But there is a sufficient buffer that you would have booked, taking into account the higher RM prices which are prevailing right now.

Rajendran Arunachalam: So, the order was finalised in the month of March. The prevalent situation obviously would have been factored in. Yes, but we have to manage that with the developing situation, and that would have to be handled over a period of time as well, because it's a long time. It'll be executed over the next three to four years.

Teena Virmani: Understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thanks for taking my question. First question on if you could give some colour in terms of the heating, cooling, and electric boiler, how that has performed in Industrial Products? And there was a kind of double-digit margin which we have been doing last year.

We did a good EBITDA margin there. This year also, the margin has come off by 100 more than 100 bps, but still, we are in double digits? So just wanted to understand what one should take it as a sustainable margin for FY27 and how has been the performance of each of the sub-verticals in the Industrial Products business.

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Rajendran Arunachalam: Okay. Thanks, Amit, for that question. I think we broadly talk about the Industrial Products business of the multiple businesses that are under them, but we haven't disclosed specifically any margin profiles for each one of them.

Having said that, I think there have been in the past, I can see that your question is around the

margin drop over the last year on the Industrial Products business. So, the prior period had a set of good projects where there were good savings opportunities for us. Having those projects being picked up during a certain cycle of commodity cost being higher and being executed at a time when the commodity cost had cooled off.

So, we had a good savings opportunity in some of them. In a couple of our businesses, we missed, in one of the businesses, we missed a bit of export opportunity, which had a better margin profile. So that's been one. The other one has been on which I can talk about more clearly is on the Danstoker business that we have in Europe.

We have a mix of oil and gas as well as biomass-based boilers. And I think the margin mix on the biomass-based boilers is better off than the oil and gas boilers. And in the last year's cycle, the oil and gas boilers were

much more executed than the biomass ones. But we see the mix changing for the year ahead.

So, I think that was also a cause of the change in the margin that you saw in that segment. So, a couple of reasons for this thing. Broadly, I think the mix change on the individual businesses was the main cause for the margin difference. But yes, we would look forward to some improvements going ahead, subject to the course, commodity cost impacts.

Amit Anwani: Right Sir, in the Industrial Infra business, does this boiler order, I'm just again asking for better understanding, has the price variation clause and second, is that the correct understanding that at least this is either margin accretive, margin relative to the overall firm level margin if you could give some colour for this utility boiler order which you have taken, that would be helpful?

Rajendran Arunachalam: Thanks Amit, I think I'll reiterate what I think I told earlier, that I would not be able to talk specifically about this job margin because it's a specific order, and I also can't discuss any bilateral clauses that we have in the contracts. Having said that, I think we at firm level and segment level target margins, have kept in mind at the time of finalising this order, and I think that's the confidence that I can have at this time.

Amit Anwani: Right. So, with this order and as you explained already about the legacy order, status on that order, can we see meaningful improvement further for the Industrial Infra business? We had a good improvement this year in terms of margin. So, is that on the card or should this stabilise at the current level?

Rajendran Arunachalam: I think the current levels are good levels. I think you have seen them increasing over the last two, three years, but I will just draw your attention to one specific state incentive that we have been receiving and which we have been disclosing in our quarterly and in our annual results as well. That's an accretion to that business which has happened over the last two, three years, but that's available. I think we have disclosed it.

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It will be for 27-28 cycle. So, I think that is one piece of margin, meaning one piece of profit that I think is for a limited cycle. Otherwise, yes, I think with the flow of orders and certain operating leverage, I think we should definitely be having confidence in our margins going forward.

Amit Anwani: Right. Sir, lastly, on the data centre, is there any lead time or do you have to get on some approval process which takes some time? So just wanted to understand when you started applying for these orders and when they converted for you?

If you could let us understand the timelines or process to get these orders. And are you in touch with multiple OEMs in the US to get further business for cooling towers, or at least where we got the order, that are looking for orders from the same vendor, or are you talking to more OEMs there? Some colour on that, please.

Rajendran Arunachalam: Yes, Amit, but the colour is going to be limited. I'm not obviously going to discuss whom, what, etc. I think, yes, we're as I commented earlier, we're confident of the order pipeline and the discussions that we are having. But this is something that we will continue to comment on in the coming quarters and have nothing more to add than what I have told earlier. Thanks.

Amit Anwani: Thanks, Rajendran.

Moderator: Thank you. The next question is from the line of Renu Baid from IIFL Capital. Please go ahead.

Renu Baid: Yes, hi, good morning team. Just a small follow-up question, more on the bookkeeping side. Sir, can you help us give what the broad order book split between fixed price and variable price projects and orders?

Rajendran Arunachalam: So, I think you can fully assume that almost all our orders are fixed price orders. There would be a

few, which, if at all, on large ones, if any, that we would have price variation clauses, but I think they would be fairly few and far. I think so, by and large, all our orders are fixed orders.

Renu Baid: Sure. Because this is more pertinent with respect to large orders. One or two of the large orders that we've recently won in the last two quarters, if they have a price variation clause, then it

changes the mix materially. So, this is the reason why. So, should we assume broadly 90% is all fixed price, or in value terms, how would this be?

Rajendran Arunachalam: As I said to you, I think you should assume fixed price orders because that's primarily the nature of all our businesses and orders.

Renu Baid: Sure. And given the way the execution has panned out of the overall backlog, while we have these three, four large orders on which we can count on, what percentage of the backlog has an execution cycle beyond 12 months?

Rajendran Arunachalam: So, I think some of the large jobs that we've picked up naturally, the execution cycles are more than this thing. I think the supercritical one I commented on earlier as well. I think all these other larger ones, yes, so would all clearly exceed 12 months. They would more be in 16 to 18 kind of ranges for execution.

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Renu Baid: Got it. Sure. Thank you, and best wishes. Thank you.

Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Yes, thank you for the opportunity again. Rajendran, a few questions. As in, the context of the first question is that you had in Green Solutions a partner who did not fully do the work and then the company had to take it up.

And in the same year earlier, there was an issue on the design engineering part with the starting partner as well. I'm just trying to get a sense of whether this is becoming an issue that the company would want to kind of see through and address, and what steps are being taken in this direction wherein the partner network is better off than earlier?

Rajendran Arunachalam: Agree with the question, Aditya, and I think unfortunately, the issue has been with the same partner that we've had. And so, it's not across multiple partners who would want to give you some colour around that. And, yes, the impact, I think we've explained that. So, yes, we aren't facing this across our projects or across customers, across vendors. So, we're conscious of this and for future orders as well. Thanks.

Aditya Mongia: The second question that I had was more linked to the order inflows that have happened in the year on the domestic side inside Industrial Infra. With broadly being slack Y-o-Y if I take away the thermal order, I think expectation would have been better for the year? So just trying to get a sense across customer segments where have the disappointments come in, and if in those segments anything is changing for the better as we seek through?

Rajendran Arunachalam: Yes, in our Industrial Infra business, I think the two other parts, apart from what we have talked about, I think FGD, you're aware of, we've been speaking about it for the last one or two years or more, I think on the dry down of orders on that front. Bio-CNG business I think has also been less on orders, but I think in the recent past we won some change orders, with our existing clients. But otherwise, I think there's been a change in the market, and I think there's some bit of slowdown and Bio-CNG business order book has also been not as per our expectations. So that's another area that I think yes, which is part of Industrial Infra, which has not picked up. So, yes, those would be the concerns for us at this time. But I think as I said earlier, Bio-CNG is a business that we're looking forward to better opportunities and a better market down the line.

Aditya Mongia: Any comment on the green methanol endeavour of the company? There's a certain small quantum of capacities being set up, but how does the company think through it and any investment target gets that you would want to share?

Rajendran Arunachalam: I don't have a current update, but Aditya, maybe I might be able to get back to you on this if there's any further development, but nothing at this time that I have to share.

Aditya Mongia: Thanks, Rajendran for these responses.

Rajendran Arunachalam: Thank you.

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Moderator: Thank you. The next question is from the line of Nikhil Chaudhary from Toro Wealth Management. Please go ahead.

Nikhil Chaudhary: Yes, hi, good afternoon and congratulations on a great set of numbers. I had two questions. So wanted to understand following up on the earlier participants with respect to the data centre. Do we say that we have lesser competition in the North American cooling solution, and our value add is higher?

So, wanted to get a sense around when the qualifications are done with, probably say the hyperscalers, the incremental orders, do we get a higher chance with the same hyperscaler, or do we see it like each project is a fresh fight? Wanted to understand that.

Second thing is we've been very vocal in our earlier calls that we'll be staying away from very

heavy projects , citing probably the FGD as one of our lessons. Then , this recent INR 1600 crores of order that probably we have taken, it's got very long delivery timelines? So wanted to understand what was our thought process behind , and if you may allow, I have one more question, but yes.

Rajendran Arunachalam: Yes, so Nikhil, I think the data centre piece I think has spoken enough. There have been multiple questions. I think I've clarified as much as we can. I don't have anything to add beyond that, nothing specific on the parts that you had to ask on that one. However, we'll add on the heavy projects or the 1600, the supercritical order that this thing.

I think supercritical we have been earlier clarifying that we are staying away from possible challenges in our abilities to execute any supercritical orders on the public sector side and have shown our preference and inclination to execute on the private sector side. And I think you'll see that this one is on the private sector side.

And so yes, the margin concern that we had , I think , is something that we have commented on earlier on the call already. Yes, it is it's a slightly long cycle order. But I think this is a sort of a breakthrough as well for us in terms of the supercritical business and sets up our capability to execute more on this particular space.

And I think, yes, we're seeing this more this opportunity as our ability to get into this space as well as execute it profitably. So, I'll stop there. Thanks.

Moderator: Thank you. That was the last question for the day. I now hand the conference over to the management for closing comments.

Rajendran Arunachalam: Yes, thanks. I think I have nothing more to add. I think I hope I have been able to answer the questions today on the call. Thank you, and we'll look forward to seeing you again in the quarter one call. Thanks.

Moderator: On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.